COUNCIL	DATE 26th February 2026	ITEM NO: 8
TITLE Medium Term Financial Strategy 2026/27+	**WARD (S)** All	
CHIEF OFFICER Director of Resources	**CABINET MEMBER** Finance, Resources & Social Value	
DECISION CLASSIFICATION Key Non-exempt report Non-exempt appendices	**IS THE FINAL DECISION ON THE RECOMMENDATIONS IN THIS REPORT TO BE MADE AT THIS MEETING?** Yes	

1. Decisions required

Council is requested to:

1.1 Agree to provide for £35m of investment (Section 9), including:

- £22m relating to increasing costs arising from demand and inflation
- £9m in relation to capital investment financing
- £1m for Freedom Pass.

1.2 Note the decision taken by Cabinet on 18th February to agree £7.1m of new savings / income proposals for 2026/27 increasing to £8.2m in 2029/30 (Section 10)

1.3 Note that the report incorporates the details of the Council Tax Base set, which includes the Local Council Tax Support and maximises second home and Long Term Empty Homes premiums (Section 8.27 to 8.31).

1.4 Note the decision taken by Cabinet on 18th February to agree new fees and charges for 2026/27 (Appendix C).

1.5 Note the schedule of fees and charges rates for 2026/27 (Appendix D) being agreed under delegated authority.

1.6 Agree the proposed Medium Term Financial Strategy 2026/27 to 2029/30 as set out in this report and subsequently recommend to Council for approval:

- the MTFS as per this report
- that the borough element of council tax is raised by:

    - 2.00% adult social care precept
    - 2.99% main council tax rate
- a balanced budget for 2026/27

1.7 Note the decision taken by Cabinet on 18th February to agree to utilise the Crisis Resilience Fund, in line with Government guidance (Section 8.62 to 8.77), specifically

- To approve the allocation of £4.034m per year (after the housing element) for the period 1st April 2026 – 31st March 2029 for the Department for Work and Pensions' Crisis and Resilience Fund as follows:
    - £1.1m per year towards the crisis payments strand, which will cover elements such as funding towards the Emergency Support Scheme, Council Tax Hardship Fund, Targeted payments, and school uniform grant provision.
    - £2.2m per year towards the resilience strand, which cover elements such as in-house advice provision, the advice hub programme, and expanding the family financial resilience programme including,
        - the following direct grants for the advice hub programme for the period 1st April – 30th June 2026
            - £28,750 to Greenwich Citizens Advice Bureau (company registration number 03346379)
            - £27,600 to Greenwich Housing Rights (company registration number 01874645)
            - £3,500 to Greenwich Cooperative Development Agency (registered society number RS007029)
        - that an open tender process will commence to award advice provision contracts to support the advice hub programme from 1st July 2026 – 31st March 2029.
        - to award the following direct grants to supplement and expand the GLA's existing family financial resilience programme for the period 1st July 2026 – 31st December 2027,
            - £172,500 to London Citizens Advice Ltd (company registration number 15785714, registered charity number 1209126)

        - ❖ £178,500 to London Legal Support Trust (company registration number 04930926, registered charity number 1101906)
    - £0.4m per year towards the community level support strand, which covers crisis navigator provision in food back/club settings, ambient food programme, and a community grants scheme. As part of this funding allocation,
        - a direct grant for the ambient food project of £0.15m per year will be allocated for each of the 2026/27, 2027/28, 2028/29 financial years to Greenwich Co-operative Development Agency (GCDA) (registered society number RS007029).
        - an open tender process will commence to award advice provision contracts to provide crisis navigator provision in food bank and food club settings from 1st July 2026 – 31st March 2029.
        - To note the creation of a Greenwich Supports community grants programme in 2026/27.
- To note that the administrative costs for disbursement and management of the fund will use the remaining balance of the fund.
- To delegate decisions to vary the amounts allocated when required to the Director of Resources, in consultation with the Cabinet Lead for Inclusive Economy, Business, Skills and Greenwich Supports, to enable the grant to be responsive to emerging demands over the three year grant period.

1.8 Note that (subject to agreement by the Pension Fund Investment & Administration Panel) (section 9.25-9.27):

- the councils pension fund is now 118% funded
- an ongoing saving of around £3.4m per year will arise from a reduction in future pension costs and a further time limited saving is generated, as a result of the surplus.

1.9 Note that the impact of over a decade of government austerity has led to the council facing more than £150m of pressures over that period, when combined with huge demographic demands and price inflation it is continuing to provide significant challenges in order to set a balanced budget for each financial year (Section 4).

1.10 Note the impact of the Government's Financial Settlement and related developments around the MTFS (Section 8):

- the Chancellor announced a three-year Settlement for 2026/27 through to 2028/29, which allows certainty for a period and more strategic / financial planning
- a continuation of the break from the London wide Business Rates pooling arrangement for 2026/27
- the Schools funding position

1.11 Note the decision taken by Cabinet on 18th February to agree to create a risk reserve facility to support the mitigation of risks associated with the impact of changing circumstances upon the MTFS across the three year settlement period (section 10.3).

1.12 Note a forecasted overall resourcing gap for 2027/28 of £35m, rising to £101m by 2029/30 (Section 15).

1.13 Note at the time of writing that this is subject to the Financial Settlement being agreed to by Parliament (Section15).

1.14 Note the outcome of the results of the public consultation which closed on 24 December 2025 (Section 17).

1.15 Note that the MTFS is a continuous process and will be updated in Summer 2026.

1.16 Note that it shall have regard to the s151 / Chief Finance Officer's statement in Section 16, as required under s25(2) of the Local Government Act 2003, when making decisions in this report.

2. Links to Our Greenwich missions

2.1 This report relates to the delivery of all of the high-level missions contained within the Royal Greenwich Strategy.

2.2 This report relates to the Council's agreed missions as follows:

- People's health supports them in living their best life
- People will not experience discrimination
- Those in financial need can access the right support, advice and opportunities to improve their situation
- Children and young people can reach their full potential

- Everyone in Greenwich is safer, and feels safer
- People in Greenwich have access to a safe and secure home that meets their needs
- It is easier, safer and greener to move around the borough and the rest of London
- Development delivers positive change to an area for existing and new communities
- Neighbourhoods are vibrant, safe and attractive with community services that meet the needs of local residents
- Greenwich plays an active role in tackling the climate crisis and improving environmental sustainability, in line with our commitment of being carbon neutral by 2030
- Everyone has the opportunity to secure a good job
- Town centres, high streets and shopping parades are vibrant, prosperous, well-maintained places that meet the needs of local people
- Our economy attracts new high value businesses whilst strengthening its foundations
- The voluntary, community and socially motivated sectors in Greenwich are strengthened and able to provide more support to the most in need
- Our Council is better at listening to communities, and communities feel they are heard
- We develop networks with communities, key partners and businesses to meet need and address challenges together
- We design our services around the needs of our residents
- Our Council is an adaptive organisation, enabling it to navigate the increasing number of challenges it faces while remaining financially sustainable
- Our Council works in the most efficient and effective ways possible
- Our Council is a great place to work, with a diverse workforce who have the right skills and are motivated and empowered to deliver

2.3 This report contains the sections set out in Table 1.

Table 1 – Structure of the Report

Ref	Section
3	Purpose of Report and Executive Summary
4	Introduction, Background, Scene Setting
5	Autumn Budget 2024
6	Medium Term Financial Strategy (MTFS) 2024 Recap
7	Latest Monitor for 2024/26

8	Local Government Finance Settlement 2025/26 and other updates
9	On-going Budget Position 2025/26
10	Budget Opportunities
11	Available Options for Balancing 2025/26
12	Preferred Options
13	Reasons for Recommendations
14	Risks Looking Ahead
15	Medium Term Financial Strategy 2025/26 onwards
16	Statement under s25 of the Local Government Act 2003
17	Consultation and Timetable
18	Cross-Cutting Issues and Implications
19	Report Appendices
App A	Savings / Income Proposals
App B	Financial Standing and Risk
App C	Proposed New Fees and Charges 2026/27
App D i)	Health & Adults Services Existing Fees & Charges 2026/27
App D ii)	CEC Existing Fees & Charges 2026/27
App D iii)	Legal & Democratic Services Fees & Charges 2026/27
App D iv)	Resources Fees & Charges 2026/27
App D v)	Housing & Safer Communities Fees & Charges 2026/27
App D vi)	Place & Growth Fees & Charges 2026/
App E	Comments of the Overview and Scrutiny Committee

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3. Purpose of Report and Executive Summary

3.1 This report sets out the Medium Term Financial Strategy (MTFS) for the Authority for the next four years (2026/27 to 2029/30). The MTFS balances the financial implications of objectives and policies against constraints in resources and provides the basis for decision making.

3.2 Subject to agreement to the proposals contained within this report:

- the Council will deliver a balanced budget for 2026/27.
- the strategy identifies a 2027/28 forecast budget gap of £35m, increasing to £67m in 2028/29 and £101m in 2029/30, subject to delivery of savings and containment of cost pressures.

4. Introduction and Background

Austerity and Local Government Funding

4.1 The scheme for government funding changed in 2013/14 with the introduction of the business rates retention scheme. Chart 1 below excludes Council Tax as this is a locally raised tax.

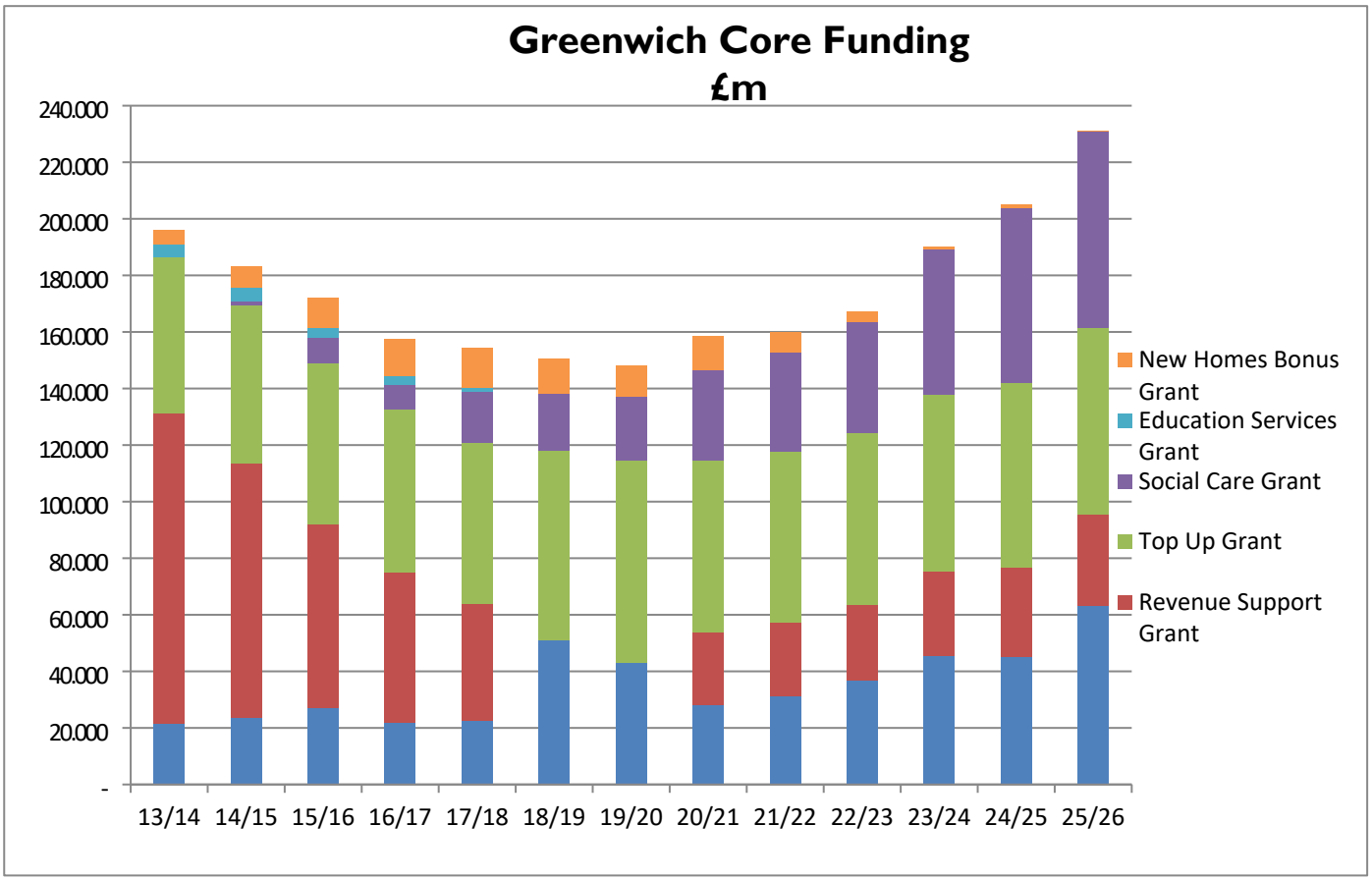


Chart 1: Core Funding 2013/14 to date

4.2 A growing importance has therefore been placed on Council Tax funding, including the Adult Social Care (ASC) Precept (Chart 2).

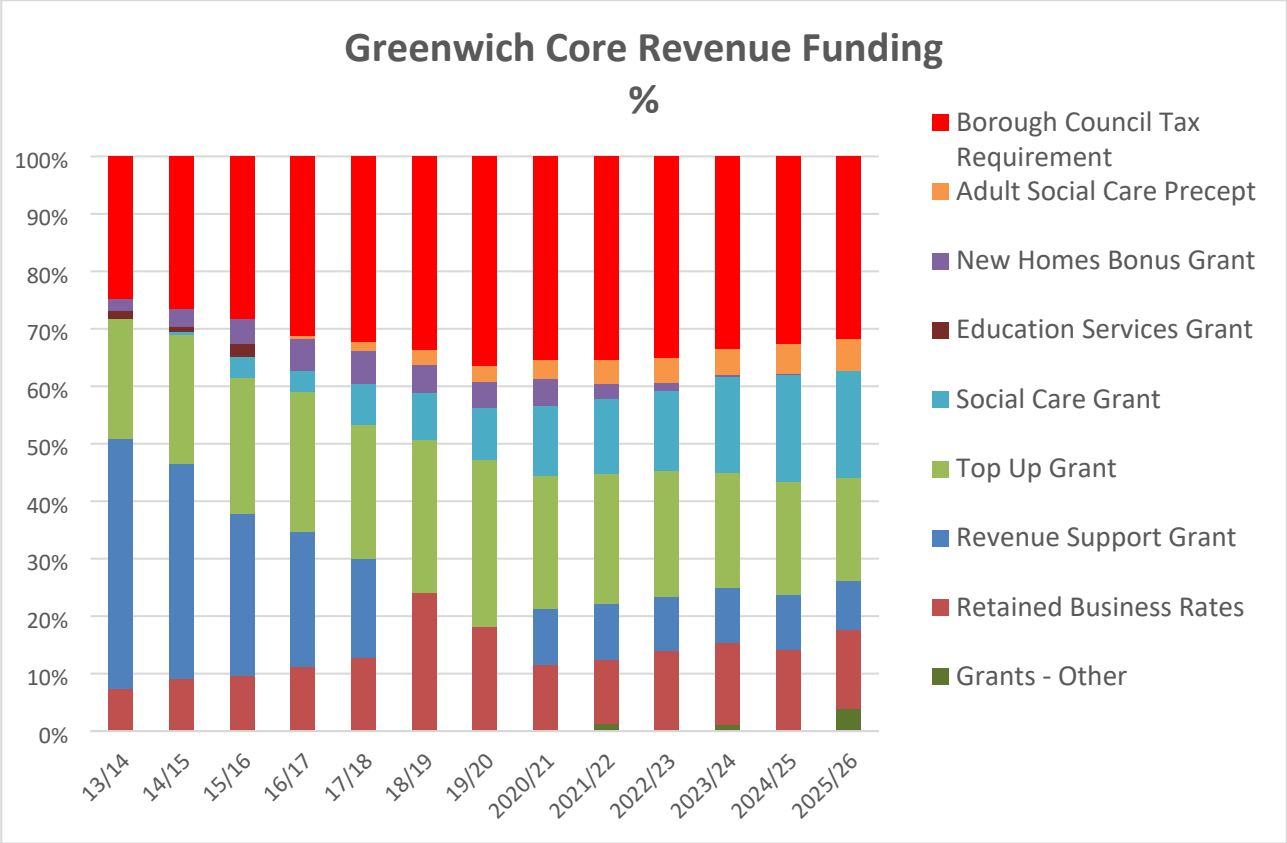


Chart 2: Funding Stream Composition 2013/14 to date

Fair Funding Review 2.0

4.3 The introduction of the Government's Fair Funding 2.0 approach to funding local government nationally has not fully removed the pressures linked to increasing demand, rising costs and the question of whether there is sufficient funding available within the local government environment, but the reintroduction of three year financial settlements does provide additional certainty for financial planning.

4.4 There is no guarantee that the financial difficulties local authorities face will ease. Indeed, in recent months there has been a significant increase in the number of local authorities under increased financial pressures, suggesting they may need to apply to the government for Exceptional Financial Support (EFS) or issue a Section 114 notice.

4.5 EFS brings with it enhanced scrutiny by the government, including more detailed business planning and may involve the relevant council selling assets, raising council tax above usual referendum limits, obtaining a loan, or in extremis, government intervention. It is worth noting that obtaining a government approved loan, in order to balance the budget and deliver

services, attracts interest and will need to be repaid and as such would leave the relevant council with less funds in future years in order to deliver services.

4.6 A section 114 notice effectively declares an authority is bankrupt i.e. it has insufficient funds to pay for the services that it needs to deliver for its residents.

4.7 The Royal Borough of Greenwich faces significant funding and budgetary challenges over the duration of the MTFS, however it has demonstrated consistently that it is able to rise to the challenge and maintain full control over its future and deliver within the resources available.

5. Autumn Budget 2025

5.1 The Chancellor delivered the Government's Autumn Budget on 26 November 2025. The budget sets out the medium term path for public finances,.

5.2 Whilst there weren't a lot of announcements that directly impacted funding arrangements ahead of the provisional Local Government Finance Settlement, there were some announcements that indicated the direction of travel for key issues.

5.3 The announcement that SEND funding will become the responsibility of the Government from 2028/29 is very welcome. This will alleviate the risk associated with the current statutory override position to one extent or another. We will have to await final details but indications are that there will be a requirement for local authorities to demonstrate that they have taken appropriate measures to minimise and/or reduce the existing deficit as a precursor to agreeing the final resolution and transfer of responsibility.

5.4 Confirmation of Government backing for both, the extension of the Docklands Light Railway through to the Borough, alongside the potential establishment of a new town at Thamesmead were also good news. Again the details of how these infrastructure developments will be delivered and funded have yet to be disclosed but both will drive growth within Greenwich.

5.5 The budget also announced the introduction of a High Value Council Tax Surcharge (HVCTS) to be introduced from April 2028, based on updated valuations to identify properties above the threshold, the surcharge will be in addition to existing Council Tax. New charges start at £2,500 per year, rising

to £7,500 per year for properties valued above £5 million, and will be levied on property owners rather than occupiers. Local authorities will collect this revenue on behalf of central government and will be fully compensated for the additional costs of administering this new tax. Revenue will be used to support funding for local services, with further consideration through the next spending review in 2027. The government will undertake a new burdens assessment to ensure costs to local authorities are fully funded.

5.6 From 1 April 2026, business rates bills in England will be updated to reflect changes in property values since the last revaluation in 2023. As a result of the revaluation, the small business multiplier will decrease from 49.9p in 2025-26 to 43.2p in 2026-27, and the standard multiplier will decrease from 55.5p to 48p. Alongside these measures, the government will also introduce new permanently lower Retail, Hospitality and Leisure (RHL) multipliers. Local authorities will be fully compensated for the loss of income as a result of these business rates measures and will receive new burdens funding for administrative and IT costs. Table 2 below sets out the details of the multipliers applicable in 2026-27

Table 2 2026-27 multipliers

Multiplier	2025-26	2026-27	Scope
Small business RHL multiplier		38.2p	RHL hereditaments with RVs under £51,000
Standard RHL multiplier		43p	RHL hereditaments with RVs between £51,000 and £499,999
National small business multiplier	49.9p	43.2p	Non-RHL hereditaments with RVs under £51,000
National standard multiplier	55.5p	48p	Non-RHL hereditaments with RVs between £51,000 and £499,999
High-value multiplier		50.8p	All hereditaments with RVs of £500,000 or above

Source: HMT Policy Paper – 26 November 2025 Effects of the business rates retail, hospitality and leisure multipliers and high-value multiplier - GOV.UK

5.7 Underpinning these headline changes will be a series of transitional relief schemes to protect smaller businesses and/or those businesses experiencing paying higher tax rates.

6. Medium Term Financial Strategy (MTFS) - 2025 Recap

6.1 Medium term financial planning is central to a robust financial management framework and to this end the authority has continued to plan for the medium term, despite a lack of certainty in relation to future government funding as a result of one-year finance settlements.

6.2 A MediumTerm Financial Strategy 2026/27+ update was presented to Council on 24 September 2025. This report showed the 2026/27 to 2029/30 budget gap as per Table 3 below. That report showed a 2026/27 budget gap to be bridged of £45.1m.

6.3 The development of the MTFS reflects an annual cycle of work that takes it's origin the approval by Full Council of the MTFS and annual budget in February 2025. It is developed during the year, reflecting the forecasts and medium-term outlook via use of the London Councils modelling, recognition of Government policy developments and local policy decisions. Finally it incorporates the implications arising from the Government's Local Government Funding Policy Statement in November and the provisional Local Government Funding Settlement in December.

Table 3 – 2026/27 to 2029/30 Net Budget Position

MTFS Variable	**26/27**	**27/28**	**28/29**	**29/30**
Govt Funding Change	8.6	16.6	24.7	24.7
Reversal of pEPR Grant Funding	3.0	3.0	3.0	3.0
Inflation & Demographic Demand	33.1	63.8	94.7	127.5
Universal Credit Migration Pressure	3.0	3.9	3.9	3.9
Capital Investment Charges	9.0	9.0	9.0	9.0
Waste contract	0.0	2.5	5.0	5.0
Freedom Pass	1.2	2.3	3.3	4.4
Expenditure Pressures	**58.0**	**101.3**	**143.7**	**177.5**
Income– Ctax Base Property Growth	(1.4)	(2.9)	(4.4)	(6.1)
Total	**56.6**	**98.4**	**139.3**	**171.5**
Savings and Investment:				
Previously Agreed Savings	(4.5)	(4.2)	(4.4)	(4.4)
Council Tax 4.99%:	(6.9)	(14.2)	(22.0)	(30.2)

Net Budget	**45.1**	**79.9**	**112.9**	**136.8**

7. Latest Monitor for 2025/26

7.1 The monitoring report is based upon information and overspend pressures as at the end of December 2025. The budget monitoring report as at Quarter 3 is outlined in the table below, which indicates an improving position.

Table 4 Forecast Outturn Variance by Directorate – as at Q3 (December 2025)

Forecast Outturn versus Budget	**Overspend / (Underspend)**	
	2025 - 2026 Forecast at Q3 £m	**2025 - 2026 Forecast at Q2 £m**
Departmental		
Children's	1.9	2.0
Chief Executive's Office	0.0	0.0
Communities, Environment & Central	(1.7)	(1.5)
Health & Adults (incl. Nil Recourse)	0.8	1.6
Housing & Safer Communities	0.6	1.2
Legal & Democratic Services	0.5	0.8
Place & Growth	(0.4)	(0.5)
Resources	0.6	0.9
Service Total	**2.3**	**4.5**
Corporate		
Treasury Management	3.4	3.4
Business Rates Additional Income	(2.8)	(2.8)
Council Tax and Business Rates Credits	(0.6)	(0.6)
GSP surplus distribution	(0.4)	(0.4)
Programmed savings that will not be delivered	0.2	0.2
Programmed savings that are over-delivering	(0.3)	(0.3)
Programmed savings at risk of non-delivery in 2025 - 2026:		
delayed due to timing issues	4.8	4.5

delayed due to delivery issues	4.5	3.9
over-programming of savings in budget	(5.2)	(5.2)
Corporate Total	**3.3**	**2.7**
Net General Fund (GF) Position	**5.6**	**7.2**
Dedicated Schools Grant (DSG)	**12.2**	**7.4**
Housing Revenue Account (HRA)	**1.5**	**2.4**

7.2 Spending controls have been put in place, which have slowed spend across the council. Any further use of reserves to support the overspend could reduce the Council's General Reserve or reduce other specific earmarked reserves, thereby depriving other key areas of resources needed to deliver key outcomes.

8. Local Government Finance Settlement 2026/27 to 2028/29 and other updates

Local Government Finance Settlement

8.1 The 2026/27 Local Government Finance Settlement was approved by Parliament on 11th February 2026. It outlines funding allocations for local authorities for the next three financial years. The settlement marks the first time in this decade that the Government has illustrated multiple years' worth of funding allocations, covering 2026/27 to 2028/29.

8.2 The outcome of the Fair Funding Review was published which sets the underlying figures for the Fair Funding Assessment (i.e. the redistributed 2025/26 funding totals). The long awaited change in funding distribution updates the relative needs assessment for local authorities, with the aim of ensuing authorities receive a fair level of funding to deliver services based on the needs of their residents. This is achieved via a redesign to data underpinning various relative needs formulae and is a mix of data updates and methodology changes.

8.3 It was confirmed the council tax referendum limit will be maintained at 2.99% for local authorities, with social care authorities allowed an additional 2% social care precept. Six councils (five within London) will have no referendum principle applied in 2027/28 and 2028/29, allowing them to increase council tax above this level.

8.4 It was confirmed there would be a reset to baseline Business Rates collected by authorities, this is to be introduced from 1 April 2026 in conjunction with an updated national ratable value listing of businesses and new business rates multipliers which will affect the level at which businesses pay their rates. The funding effect of the revised business rates baseline for authorities is intended to be offset with new top-up and tariff amounts. The impact of these reforms does not change the outcome of how the Fair Funding Review redistributes 2025/26 funding.

8.5 Adult social care funding received by authorities in their 2025/26 core spending power has been redistributed using the Fair Funding Review, with the Local Authority Better Care Grant allocations top sliced out of social care authorities' Fair Funding Assessment (FFA) to ensure 2025/26 funding level is maintained for this grant in 2026/27. The Department of Health and Social Care has announced that it will publish 'notional' adult social care amounts early in 2026, which will set out an expectation of how much of council funding should be spent on adult social care.

8.6 It was confirmed that authorities in receipt of the Recovery grant (for which Greenwich is one) would receive a level of funding guarantee of their Core Spending Power (CSP). Eligible authorities would be guaranteed to have their CSP uplifted by 5%, 6% and 7% respectively in each year of the settlement compared to their revised 2025/26 baseline (this approximates to 5% + 1% + 1% for Greenwich and most cases). This funding guarantee has a £35 million cap over three years for each authority; Greenwich has been allocated £33.8m in total across this period which represents 97% of the cap.

8.7 The government maintains local government allocations shown as Core Spending Power (CSP) which reflects local authority funding position from government grant and possible council tax funding.

National Core Spending Power

8.8 In order to reduce the number of grants, various grants have been consolidated in core spending power from 2026/27 onwards.

8.9 Homelessness, Rough Sleeping and Domestic Abuse grant: this grant is not new funding but will become part of core spending power. It brings together existing grants: Domestic Abuse Safe Accommodation new burdens, part of Homelessness Prevention Grant, Rough Sleeping Prevention and Recovery Grant and Rough Sleeping Accommodation Programme. It will have its own

bespoke distribution for each element and be ringfenced. The overall national total will grow by £110 million by 2028/29 and local authorities will be guaranteed a minimum cash flat amount.

8.10 Children, Families and Youth grant: this grant is not new funding and part of it is already in core spending power. It brings together existing Children's Social Care Prevention Grant and the Supporting Families element of the Children Families Grant. The total nationally will be increased by £330 million in 2026/27, held cash flat in 2027/28 and then reduce by £124 million in 2028/29. The existing funding and the uplifts will be distributed using the new children and young people's services relative needs formula used in the Fair Funding Review without adjustment for council tax, and all councils will be guaranteed their 2025/26 allocations.

8.11 CSP does not include the newly consolidated grants Crisis and Resilience Fund and Public Health Grant or the 'Holiday Activities and Food Programme' and the 'Post-16 Pupil Premium Plus Programme' funding streams present in the new Children, Families and Youth Grant.

8.12 The national Core Spending Power figures for the period 2025/26 to 2028/29 show an increase of 5.7% for 2026/27 and 15.7% to 2028/29. However, 80% of the extra core spending power comes from either baseline funding level indexing (business rates) or forecasted increases from council tax. There are grant increases worth approximately £2 billion in 2028/29 compared to 2025/26.

8.13 Income included in CSP for each authority from council tax assumes that the tax base grows in line with the average annual growth in tax base between 2021/22 and 2025/26, and that councils increase council tax by the maximum possible allowable under council tax referendum principles.

Greenwich Core Spending Power

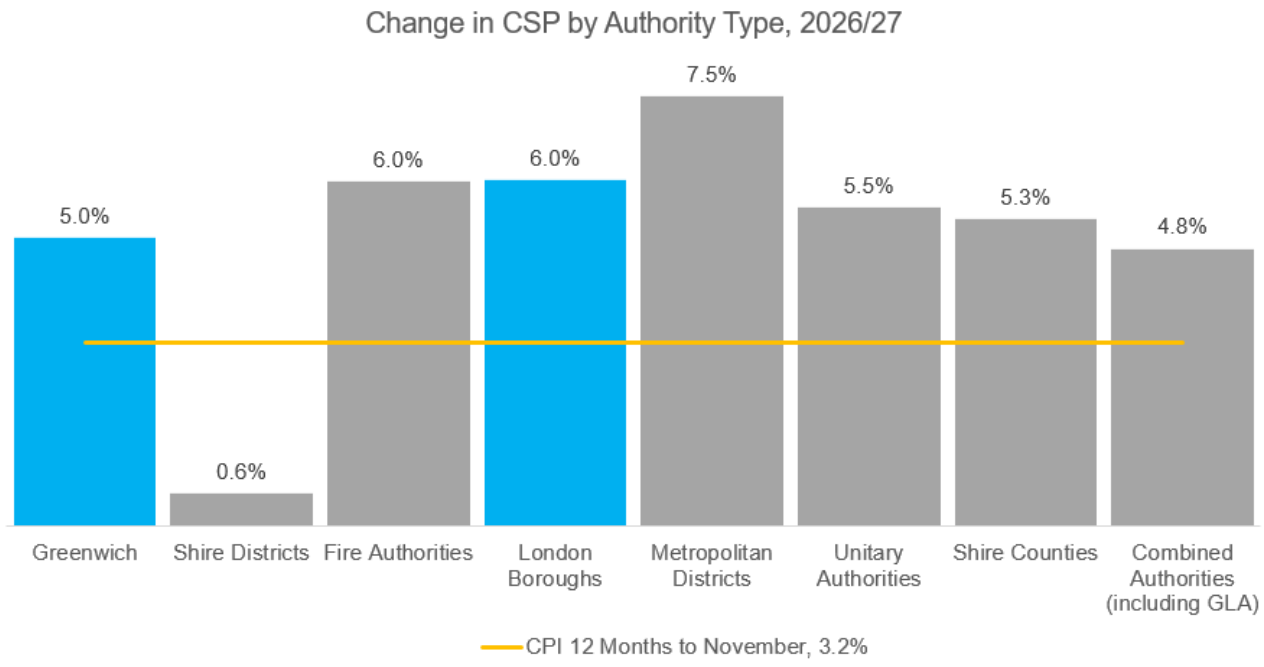
8.14 Nationally CSP is forecast to increase by 5.7% and Greenwich is broadly in line at 5.0% due to the funding protection offered by the Government. This reflects a notional increase in resources of £18.9m. The breakdown of the Greenwich CSP is shown in table 5 below:

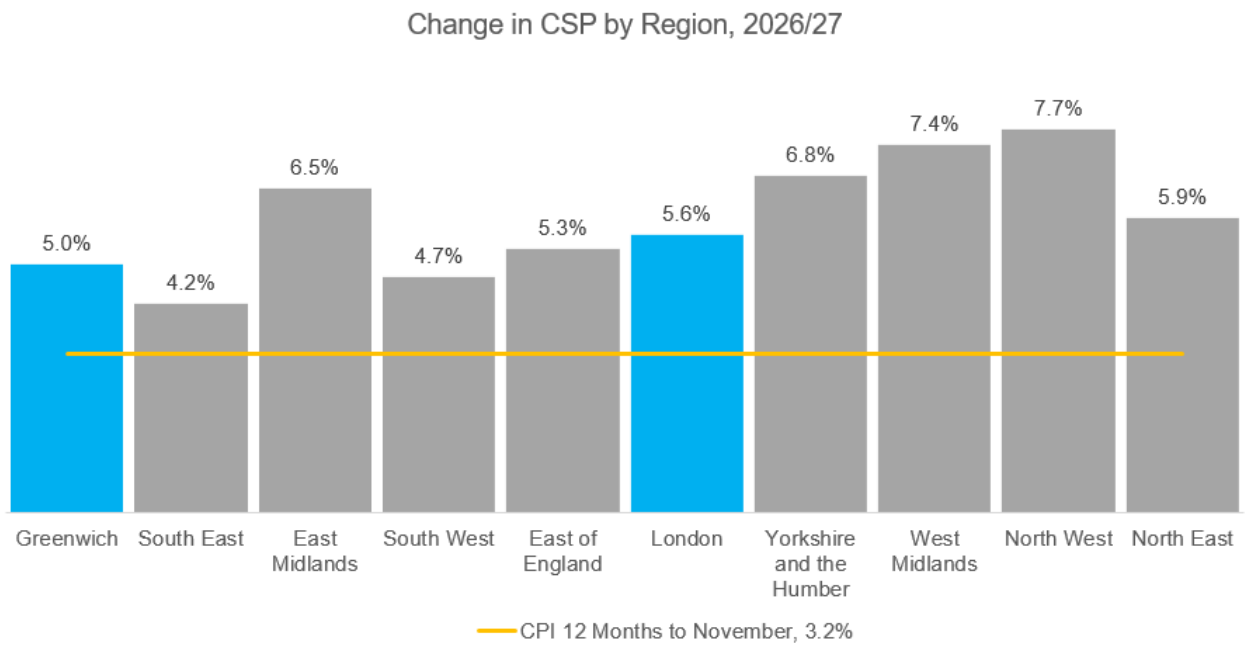
Table 5 – Greenwich Core Spending Power (£m)

	2025-26	***2026-27***
	£m	£m

Fair Funding Allocation	0.0	219.2
of which: Baseline Funding Level	0.0	93.0
of which: Revenue Support Grant	0.0	107.2
of which: Local Authority Better Care Grant	0.0	19.0
Legacy Funding Assessment	217.4	0.0
of which: Legacy Business Rates	119.4	0.0
of which: Legacy Grant Funding	78.9	0.0
of which: Local Authority Better Care Grant	19.0	0.0
Council tax requirement	138.6	149.0
Homelessness, Rough Sleeping and Domestic Abuse	9.1	7.0
Families First Partnership	3.4	4.9
Grants rolled in to Revenue Support Grant	5.3	0.0
Recovery Grant	3.8	3.8
Recovery Grant Guarantee	0.0	12.6
Core Spending Power	**377.5**	**396.4**

8.15 Analysis of the forecasted change in 2026/27 CSP for Greenwich compared with Authority Type and Region are shown in the graphs below (based on analysis by LG Futures).





8.16 There is a significant reliance on council tax within the National CSP. The level of assumed income from council tax included in the new CSP of local authorities is 53% in 2026/27. This maintains the previous trend which represents an increasing shift of income generation directly from local residents, reducing central government funding to local government.

8.17 Removing council tax from the CSP analysis shows government sourced CSP for Greenwich has increased in 2026/27 by £8.5m (3.5%) compared to a revised 2025/26 baseline position.

Fair Funding Assessment

8.18 Around £31.5 billion of the 2025/26 Fair Funding Assessment (previously known as the Settlement Funding Assessment) is distributed through the outcome of the Fair Funding Review 2.0 (FFR).

8.19 The determination of each authority's share of the underlying £31.5 billion pot for the period 2026/27 to 2028/29 have been determined based upon:

- The starting position for 2025/26 – to determine the size of the pot
- The calculated 'target' amounts for 2026/27 to 2028/29, with a particular focus on 2028/29 (though FFR 2.0)
- Transitional arrangements in 2026/27 and 2027/28
- Funding Floor amounts 2026/27 to 2028/29

8.20 The funding through the Fair Funding Assessment is split across two funding streams

- Business Rates Retention
- Revenue Support Grant, including Local Authority Better Care Grant

8.21 The Fair Funding Allocation for Greenwich in 2026/27 is £219.2m. Contained within this funding total is an assumption that Greenwich will retain £44.8m of business rates. This figure will is dependent on the submission of a NNDR1 2026/27 return to central government which will be confirmed at the end of January 2026.

8.22 A full reset of the Business Rates Retention Scheme will take place for 2026/27. This means authorities NNDR Baseline (target amount) has been set by Central Government at what is expected to be collected in 2026/27 on a new list of Rateable Values for businesses. It is expected local authorities forecasted baseline should be achieved, however there remains a risk the resources could differ.

Business Rates Pooling

8.23 In 2026/27 Greenwich will continue to operate as a single entity, external to any pooling arrangements. The situation will be kept under review if a full London-wide pool may well be viable in future years.

8.24 The outcome of the final year (2020/21) of the London Business Rate Pool has yet to be finalised and won't be until all London Borough audits are completed. As some London Boroughs' accounts audits are still outstanding for 2020/21, there remains a residual risk around the pool outturn position.

Council Tax

8.25 The Government, in the Core Spending Power calculations, has assumed that not only will local authorities increase their council tax level by the maximum permissible (2.99%) and Adult Social Care the same (2.00%), but they will also have seen their tax-base increase by the same average rate as they have done over the last few years.

8.26 As such, the Government's expectation is that council tax income will increase by £6.9m due to an increase of 4.99% in the rate and an additional £3.5m increase due to forecasted growth in the number of properties liable for paying council tax. Therefore the Government's CSP anticipates the authority could raise an additional £10.4m of income in 2026/27 which represents an increase of 7.5%. However the actual expected additional income raised by council tax and included in the MTFS position for 2026/27 is only £8.5m, this shortfall is due to the increase in the taxbase forecasted within this report being less than the average growth used within the central government's forecasts.

Taxbase

8.27 Household numbers in Greenwich continue to grow as set out in Chart 3, with 14,742 additional over the period since 2016/17 (+13.4%), an increase of approximately 1,650 per year.

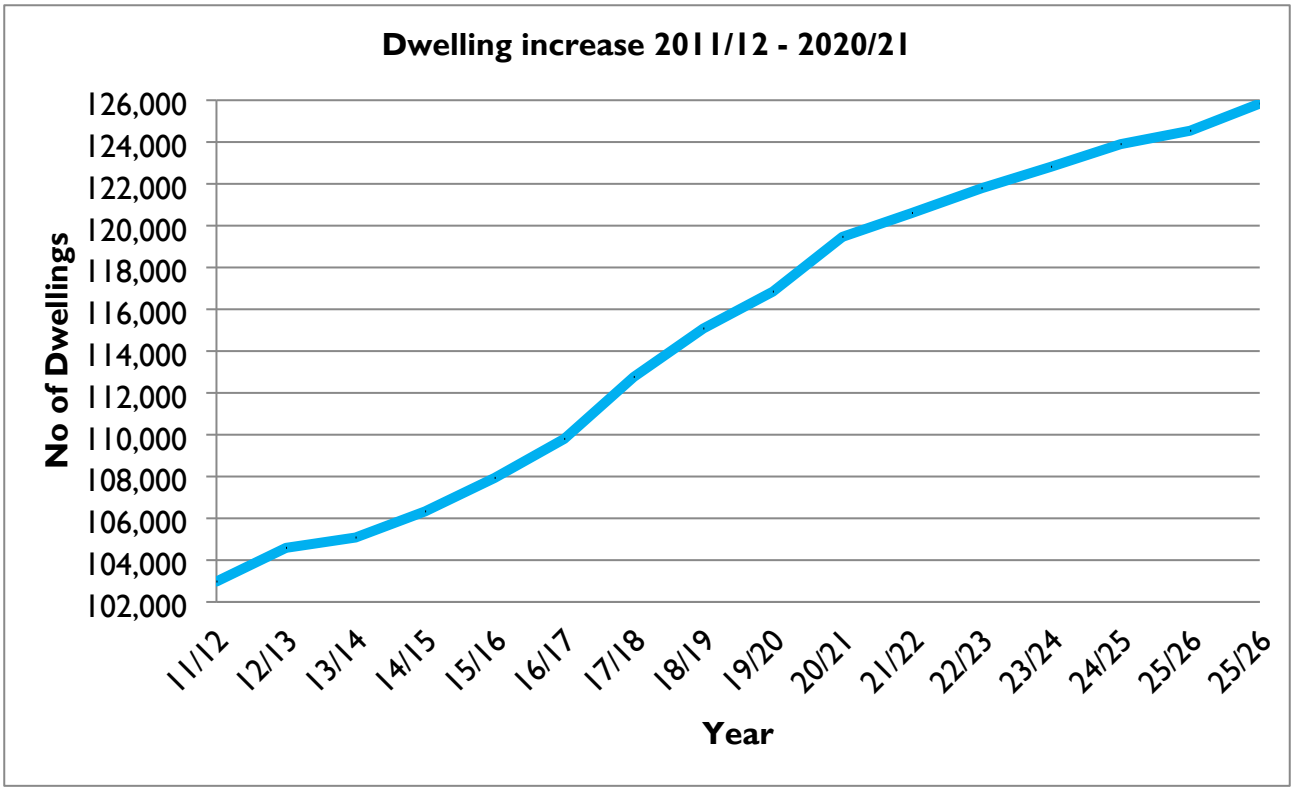


Chart 3: Dwelling Increase 2011/12 to date

8.28 More latterly, the rate has slowed; between 2016/17 and 2020/21 there was an average increase of properties over 2,400 a year which has now reduced to an average growth of just over 1,000 properties between 2020/21 and

2025/26. The latest annual increase in the number of properties rated by the Valuation Office Agency year on year is up 1,298 (approximately 1.0%).

8.29 There are no proposed changes to the Local Council Tax Support (LCTS) scheme in 2026/27.

8.30 Chart 4 shows the LCTS working age caseload has reduced in April 2025, as expected, due to changes in the scheme and has since remained relatively stable.

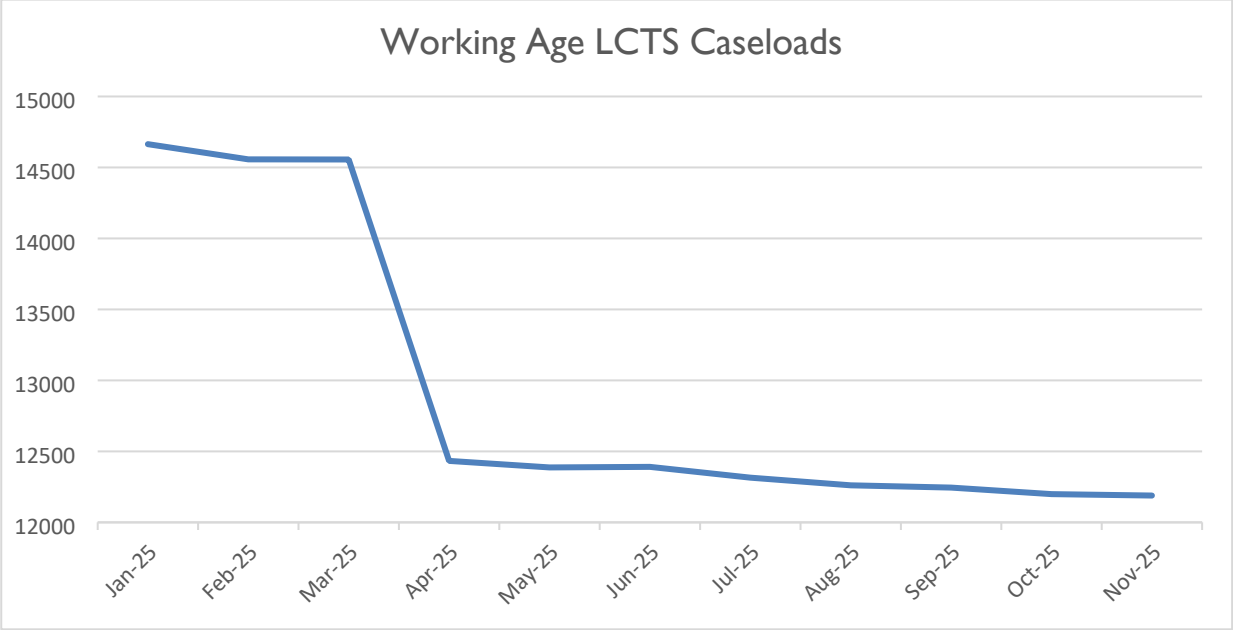


Chart 4: LCTS working age caseloads

8.31 The tax base is based on the number of Valuation Office Agency dwellings and reflects the number of properties liable to pay council tax in 2026/27. The tax base has increased by 971 Band D equivalent properties. This growth includes completed new build properties within the borough at a rate which is broadly in line with the existing MTFS assumptions.

Specific and Consolidated Grants within CSP

8.32 The number of specific grants within CSP has greatly reduced due to the funding simplification implemented as part of the Fair Funding Review.

8.33 A new consolidated homelessness, rough sleeping and domestic abuse grant has been formed. This grant brings together existing resources, mostly previously outside core spending power: Domestic Abuse Safe Accommodation new burdens, part of Homelessness Prevention Grant, Rough Sleeping Prevention and Recovery Grant Rough Sleeping

Accommodation Programme. The Greenwich allocation of this grant will be £7.0m in 2026/27.

8.34 A new consolidated children, families and youth grant has been formed. This grant brings together existing resources: Children's Social Care Prevention Grant and the Supporting Families element of the Children Families Grant. The Greenwich allocation of this grant will be £6.2m in 2026/27 (£4.9m of this is shown within the CSP as Families First Partnership).

8.35 The Recovery Grant is made up of two elements: a carryover of 2025/26 allocations and additional funding to some authorities through a Recovery Guarantee.

8.36 As an authority in receipt of Recovery Grant, Greenwich is eligible for a top-up which would take their relevant 'income' (defined as all items in core spending power) up by 5%, 6% and 7% above their 2025/26 relevant 'income' level in each year of the three-year allocations of spending power. This approximates to a guaranteed increase of 5% in 2026/27 followed by guaranteed increases of 1% each in 2027/28 and 2028/29 in most cases. In 2026/27 the Greenwich allocation of the Recovery Grant is £3.8m and will receive an additional £12.6m in Recovery Grant Guarantee.

8.37 The Recovery Grant Guarantee is received in each year of the three year settlement, however there is no information as to what will happen to this funding after 2028/29. This represents a significant funding risk and a potential cliff edge in resources reduction. The 2028/29 allocation of £10m is therefore removed from the modelling for 2029/30 within this strategy forecast.

Schools Funding

8.38 On 17 December 2025, the Education and Skills Funding Agency (ESFA) published the initial Dedicated Schools Grant (DSG) funding allocations for 2025/25. The initial allocations of the Dedicated Schools Grant funding in 2026/27, is set out in Table 6.

Table 6 – DSG (Initial) 2026/27 (£m)

Dedicated Schools Grant	25/26 Original Funding	25/26 Adjusted Funding	26/27 Initial Funding	Change

Schools Block	301.0	301.0	308.3	7.3
Central Block	3.4	3.4	3.4	0.0
High Needs Block	77.0	76.9	80.3	3.5
Early Years Block	57.8	57.1	67.1	10.0
Total	**439.2**	**438.4**	**459.2**	**20.7**

8.39 Overall there is a net increase in DSG of £20.7m (4.7%) with the Schools, High Needs and Early Years blocks seeing cash rises.

8.40 The Central Block has remained the same. This is due to a combination of historical reductions of 20% annually and the rolling in of the 2 grants which was provided separately in 2025-26. The grants are National Insurance Contributions (NICs) grant and the Schools Budget Support grant (SBSG). The allocations are in respect of centrally employed staff.

8.41 Funding for this block continually sees a reduction year on year for historical commitments. The block provides funding for local authority functions such as planned maintenance and the virtual school. This in turn increases pressure upon the MTFS.

8.42 The Authority continues to find various efficiencies and savings to absorb the current reduction in Central Block funding. It was proposed that the main efficiencies and savings may be achieved in the School Interventions and Targeted Support service areas.

8.43 A combination of the following will continue to be applied in 2026/27:

- Reducing costs by increasing efficiency and restructuring services.
- Terminating services that are no longer required.
- Transferring costs to other DSG blocks. These are costs that can legitimately be funded by either the DSG Early Years or High Needs Block.

8.44 The School Block has increased by £7.3m (2.4%). In 2026/27 funding previously received as grants will now be allocated through the School Block and has contributed to the increase. The 2 grants which have been amalgamated within the Schools Block are the:

- National Insurance Contributions (NICs) grant
- Schools Budget Support grant (SBSG)

8.45 The initial Schools Block allocation is based on the October 2025 census pupil numbers. There has been a significant drop in pupil numbers, and this has also contributed to the change in funding. The 2025-26 pupil number was 38,732, compared to 2026-27 pupil numbers of 37,631. The reduction of 1,101 combined with the addition of the grants has contributed to the 2.4% increase.

8.46 The high needs block allocation for 2026-27 is £80.3m. This is currently an increase of £3.4m, which is 4.39% increase on the 2025-26 allocation of £76.9m. The allocations outlined above are before SEN recoupment and will be subject to change.

8.47 The 2026–27 allocations will include funding that schools previously received through separate 2025–26 grants, such as:

- The Core Schools Budget Grant (CSBG)
- Funding for places in special units and resourced provision from:
  - The National Insurance Contributions (NICs) grant
  - The Schools Budget Support Grant (SBSG), converted to a full annual amount

8.48 Allocations will also incorporate updated funding for special units and resourced provision based on 2026–27 place numbers.

8.49 Subject to agreement by the Schools Forum, due to meet on 14th January, a further transfer of 0.5% of the Schools Block funding will be made to the HNB. This equates to £1.541m and would be used to assist in the current demand pressures within the HNB.

8.50 The increased funding within the HNB will enable the council to access the right educational provision and address educational inequalities for those with SEND.

8.51 The funding for the Early Years Block has increased by £10.0m, 17.6%. The increase in Early Years (EY) funding relates to the following early years entitlements:

a) the 30 hours entitlement for eligible working parents of children from 9 months to 2 years old. This funding now includes the full year effect.
b) the 30 hours entitlement for eligible working parents of 2-year-old children. This funding now includes the full year effect.
c) the 15 hours entitlement for disadvantaged 2-year-olds.
d) the universal 15 hours entitlement for all 3 and 4-year-olds

e) the additional 15 hours entitlement for eligible working parents of 3 and 4-year-olds

8.52 LAs must plan to pass through at least 97% of their EY funding from the government to early years providers for each of the above entitlements. The remaining 3% expenditure can be used for funding central services including special educational needs and disability (SEND) services. The increase in the pass-through rate will inevitably mean budget pressures with the remaining 3%, whilst still hoping to provide support services.

Public Health

8.53 Over the three-year period from 2026/27 to 2028/29, £13.45 billion will be provided through the new consolidated Public Health Grant, using, as far as possible, the same distribution approach as in previous years.

8.54 These grants include:

- Public Health Grant
- Drug and Alcohol Treatment and Recovery Improvement Grant (including Rough Sleeping Drug and Alcohol Treatment Grant)
- Individual Placement and Support Grant
- Local Stop Smoking Services and Support Grant and Swap to Stop scheme

8.55 The new consolidated Public Health Grant will continue to be funded and administered by the Department of Health and Social Care (DHSC) and will remain ringfenced, with service-specific ringfences for smoking cessation and drug and alcohol treatment funding.

8.56 An allocation of £30.3m is due to Greenwich in 2026/27.

Core Grants and Other Funding Updates

Extended Producer Responsibility for Packaging (pEPR)

8.57 On 4 November 2025 the Department of Environmental, Food and Rural Affairs (Defra) published provisional estimates of local authority income from year 2 of the extended producer responsibility for packaging (pEPR). It was announced Greenwich would receive funding of £6.4m in 2026/27.

8.58 Within this scheme, the Government will appoint a Scheme Administrator responsible to:

- charge a levy on producers of household packaging waste
- after taking a share for its own administrative function, pass income from the levy to local authorities on the basis of an assessed 'net efficient cost' of waste management services,
- monitor performance of the local waste service relative to other statistically similar authorities, and
- place authorities under an Improvement Action Plan if performance is deemed unsatisfactory
- Funding could be reduced if money isn't used to improve recycling within the borough

8.59 This funding is to cover "the efficient cost associated with collection and disposal of household packaging waste". While there are ostensibly no significant new burdens to local authorities associated with this income, the full payment from the scheme will be contingent on satisfactory performance relative to statistically-similar authorities, although which is yet to be defined, but with the intention being that it is used to invest in driving up performance of their waste and recycling services. Monitoring will not start until 2026/27.

8.60 In addition, draft regulations for the scheme appear to allow the Scheme Administrator to reduce payments to local authorities in the instance where it does not collect sufficient income from producers to cover planned payments to local authorities.

8.61 The sum of £6.4m is provided to authorities outside of CSP. The full grant is being utilised in 2026/27 only to support the MTFS.

Crisis and Resilience Fund

8.62 In the Spending Review in 2025, the government announced that the Household Support Fund would be replaced by a new multi-year grant, called the Crisis and Resilience Fund. The grant would cover the period April 2026 – March 2029.

8.63 The policy intention for the grant is to provide both immediate financial aid and long-term support for those in hardship, aiming to prevent reliance on food banks and build financial stability. The grant covers four components, which are:

- Crisis payments
- Housing element
- Resilience services
- Community level support

8.64 The allocation for Greenwich has been confirmed to be £4.7m per year for 2026/27 and 2027/28, and £4.8m for 2028/29. The housing element has a ringfenced allocation, which is £665,818 in 26/27 and 27/28, and £760,868 in 28/29. This means that the available funding for the remaining components is the following: £4.034m in 26/27 and 2027/28, and £4.039m in 2028/29.

8.65 It is proposed that £1.1m of the available grant, per year, is allocated towards the crisis payment component. Within this element it is proposed that targeted cash payments are allocated to the following cohorts of high-priority residents, with all targeted payments provided as cash and distributed through the Post Office Payout service.

- Care leavers
- Households with no recourse to public funds
- Residents housed in hotel temporary accommodation, with the payment intended to contribute to the additional costs these households incur due to being housed in hotels

8.66 It should be noted that it is not permitted in the Crisis and Resilience Fund to use the grant for blanket free school meal holiday provision.

8.67 The guidance for the Crisis and Resilience Fund requires that a portion of the scheme must operate on an application basis, and outlines that the funding can be used to support residents with immediate and wider essential costs. As part of the crisis payment strand, it is recommended that the fund provides additional funding for the Emergency Support Scheme, Council Tax Hardship Fund, and School Uniform Grant, above the existing budgets for these schemes. These all provide routes for residents to apply for direct financial support, which aligns with the policy intention of the grant.

8.68 It is recommended that £2.2m is allocated to the resilience strand. This will include a contribution towards the in-house advice provision provided by the Welfare Rights Service and Money Advice Teams, which have a primary aim of supporting residents approaching the council in financial difficulty. This aligns closely with the policy aim of the grant.

8.69 The funding will also enable the continuation of the Advice Hub programme, which has now been established as a strong community advice model. An open tender process will be launched imminently to provide for the legal advice components for the weekly advice hubs, to cover the period 1 July 2026 – 31 March 2029. Direct grants will be awarded to the existing advice providers to cover the period 1 April – 30 June 2026, to ensure continuity of service.

8.70 The funding will cover the following hub locations:

- Mondays, The Forum, Greenwich
- Tuesdays, The Migrant Hub
- Wednesdays, St Mary's Community Centre, Eltham
- Wednesdays, Moorings Sociable Club, Thamesmead
- Thursdays, Glyndon Community Centre

8.71 The funding will cover the following advice areas, as well as the overheads for the delivery of the advice hubs and direct food provision:

- Welfare benefits advice (provided by the Welfare Rights Service)
- Generalist advice
- Housing advice
- Immigration advice

8.72 The proposed funding allocation will also increase the advice provision available for the new Family Financial Resilience Programme, which is a GLA funded initiative providing advice in family hubs in Greenwich, providing a grant to the existing housing and generalist advice delivery partners. The increase will triple the available advice provision, which will enable more residents to be supported through family hubs, provide more in-depth advice support and extend outreach service provision.

8.73 It is proposed that £0.4 million of the CRF is allocated to the Community Level Support service, which is closely related to the resilience element of the grant funding and that consequently has some overlapping aspects.

8.74 This funding would allow the establishment of a new community advice programme, providing dedicated advice provision within foodbanks and food club settings. The provision will provide mainly welfare benefits, debt and housing assistance and support to overcome the immediate crisis and work towards longer term stability. A tender process will be commenced to launch this scheme from 1 July 2026.

8.75 It is also recommended that a direct grant is awarded to the Greenwich Cooperative Development Agency (GCDA) for £0.15m per year for continuation of the Ambient Food project. There are a specific group of food aid organisations who deliver large scale provision across the borough but are reliant upon donations and surplus food. The ambient food provision has been a lifeline for these organisations as demand upon services has increased whilst the volume of donations and quality of surplus food has decreased. This grant will ensure a healthy nutritious food offer is available and coordinated through GCDA, who work with local suppliers to identify the best price for food, and coordinate distribution to nine local food organisations.

8.76 In addition it is proposed that a Greenwich Supports Community Grants programme will be launched to support community led provision which supports residents on low incomes, and which aligns with the purpose of the Crisis & Resilience Fund.

8.77 Recognising that the Crisis Resilience Fund is currently guaranteed for a three year period, it is anticipated that whilst there is an outline plan for the full period, needs may change and therefore some flexibility may be required between each year for how the grant is allocated across the strands. It is recommended therefore that the decision to vary the use of the grant is delegated to the Director of Resources, in consultation with the Cabinet Lead for Inclusive Economy, Business, Skills and Greenwich Supports. This will ensure timely and appropriate management of the grant.

Lee Valley Regional Park Authority

8.78 Councils in London are required to pay an annual levy to contribute to Lee Valley Regional Park Authority to support the operational costs of the organisation to provide sports venues, open spaces, riverside trails and nature reserves, all of which are accessible to the communities of London, Essex and Hertfordshire. It is anticipated that the charge levelled to all London Councils will be increased.

9. On-going Budget Position 2026/27

On-going Funding Change Summary – Gross Ask

9.1 Throughout the year, extensive cross departmental work has been undertaken within the authority to revise income and expenditure assumptions included within the September 2025 MTFS.

9.2 Through robust reviews of 2025/26 budgets and a wide spanning assessment of income opportunities, it has been possible to identify a range of budget opportunities, efficiencies and additional income which can contribute towards balancing the 2026/27 budget.

Price Inflation, Demographic Demand

9.3 Across the sector we are continuing to experience higher demand for our services and the cost of provision is also continuing to rise. In response, we are making provision to underpin the funding to support vital services. We will also be allocating funding for increases in demand and price inflation, this is the cost of serving a growing population and inflation on our contracts and commissioned activity. It also includes the pay settlement with staff. Essentially – it is the cost of "standing still". Within the September 2025 MTFS, £33.1m was forecast to be required to fund inflation and demand.

9.4 Through this process we have worked hard with services to develop and test our modelling and assumptions, so we are assured that we are being appropriate in our allocations for the coming year.

Temporary Accommodation (TA)

9.5 From September 2023 to August 2025, there has been a 25% increase in the numbers of households presenting in need of temporary accommodation. The supply of accommodation that affects the number of households in TA will be smaller next year than this year and smaller again in 2027/28. These factors combined have been modelled for next year and to provide a budget neutral service would require an additional £4.2m. This means that our demand and inflation ask for next year has increased from £33.1m to £37.3m.

Reducing the level of demographic and demand inflation

9.6 Within the overall ask, we have £37.3m of inflation & demographic demand. Some components are largely unavoidable (e.g. contract inflation, pay award for staff). In other areas it may be possible to reduce the associated costs by looking at the way in which we work, focusing on becoming more efficient and effective.

9.7 The main areas where this demand is required is Health and Adults' Services, Children's Services and Temporary Accommodation. Significant work has

gone on in these areas with the following demand & inflation reductions identified:

- Health and Adult Services – £5.8m
- Children's Services – £5.45m
- Temporary Accommodation – £4.2m

Health & Adult Services Inflation & Demand Reduction Activity

9.8 We will continue our strengths-based work by focusing on what people can do and supporting them to be independent. Our focus will be on providing the right care for people at the right time, and not overprescribing care and creating dependency. We will do this by:

- Improving how we check the quality of our work and oversee decisions in social care, so people get support that reflects their individual needs, promotes their independence, meets our Care Act duties, and connects them with helpful community-based services like Live Well and Digital Health and Care Technology (DHACT).
- Making sure we can clearly show that the support people receive is improving their lives, fostering independence, and helping them achieve the best possible outcomes.
- Learning and improving our approach so we meet our responsibilities and use all available support, including Live Well, DHACT and other local services, in the most effective and meaningful way to support people's independence and wellbeing.

9.9 Pressures from inflation come from increases in the cost of providing care from services that we commission. We will continue to strengthen our approach to managing the provider market to help address inflationary pressures arising from increased costs of commissioned care. This covers:

- Care for people with mental health needs:
  - Working with health partners to more effectively fund the costs of supported housing
  - Improving services that help people leave hospital sooner and stay well at home, including providing more supported housing options
  - Encouraging greater collaboration between providers to use resources through forming a 'Mental Health Alliance'

- Care for people with learning disabilities:
  - Find better and more affordable care providers through new contracts

- Offer improved short breaks and activities to better support people's needs and avoid more costly care

- Care for older people:
  - Keep care home costs fair and manageable by negotiating prices.
  - Make sure one-to-one support in care homes is only used when really needed
  - Check how well emergency and short-stay care beds are working to support people to reduce and delay care needs
  - Review equipment provided to help people stay independent and reduce care needs

Children's Services Inflation & Demand Reduction Activity

9.10 There are a number of actions to remain steady state and to reduce demand and manage inflation with Children's Services. On the demand side, we are focussing on:

- Children in our Care and Placements
  - We will continue to bring the unit costs of placements down and reduce the number of children coming into our care through various initiatives.
  - This work is aligned with the Families First reforms, focused on keeping families together, preventing children from entering care and increased oversight of private children's homes and fostering agencies to tackle excessive profits and ensure high quality care.
  - We are also working with housing colleagues to consider opportunities for more in house provision.

- SEND review
  - We are undertaking a wider review of SEND (including a review into SEND Transport) which takes a whole system approach to effectiveness and efficiencies
  - We are working to develop a sustainable and relational joined-up system that supports Children and Young people to flourish. We know our data also needs improvement and this work will give us the opportunity to streamline systems and processes for a more efficient and accurate performance and financial data information

- Building on previous work, we are taking a rapid review of our SEND Transport policy and explore additional savings, such as our Taxi provision

9.11 Alongside our work in reducing demand, we are also pursuing opportunities to achieve efficiencies within our contracts and commissioned spend. This includes:

- Reducing spot purchased external provision and expanding the use of frameworks and implementing more robust demand management processes to reduce spend.

There are also opportunities to create greater efficiencies and better value for money within our directly delivered services, including:

- A review of Behavioural Services, within Inclusion, Learning & Achievement.

<u>Temporary Accommodation Programme</u>

9.12 From September 2023 to August 2025, we have seen a 25% increase in the numbers of households presenting in need of TA, reflecting wider trends across the country.

9.13 The supply of accommodation that can influence the number of households in TA has also continually reduced. In the face of these exceptional challenges, the TA Cost Reduction Programme has already saved RBG £8.7m through reducing spend and managing demand, successfully delivering work through collaboration across the Council.

9.14 Despite this, the continually growing pressures have been modelled for next year and to provide a budget neutral service would require an additional £4.2m. Therefore, a continuation of the TA Cost Reduction Programme is proposed with a focus on the following activity:

- **Maximise the impact of housing supply on reducing homelessness (increase supply)**

    - Direct offers – Continue to make direct offers of social housing to eligible families in TA
    - Acquisitions – Continue to purchase additional homes for use as TA
    - Leases – Continue to agree lease arrangement for additional properties for use at TA

- Using existing RBG assets for TA – Explore opportunities to convert RBG assets into homes suitable for use as TA

- **Maximise the impact of our support initiatives on reducing homelessness (reduce demand)**
  - Private rented sector incentives – Incentives for, and excellent relationships with, private sector landlords to encourage them to accommodate homeless households in suitable, settled homes
  - TA occupancy checks - A team of grant funded officers inspecting EOA units to identify and reclaim unoccupied units and address issues with conditions
  - TA move on team – A team of grant funded officers to work proactively with TA clients, offering person-centred support to move them on to settled housing
  - Employment support – Service Level Agreement with and investment in Greenwich Local Labour and Business (GLLAB) to work with more homeless households
  - Explore opportunities to further improve our homelessness prevention initiatives
  - Explore opportunities to improve the early identification and support pathway (prevention and relief) – building on our Greenwich Supports offer

9.15 The revised total forecasted budget requirement for Price Inflation and Demographic Demand in 2026/27 is £21.8m and is summarised in the table below.

Table 7 – Inflation & Demographic Demand Forecast 2026/27 (£m)

2026/27 Estimates for Demand & Inflation (£m)	September 2025 MTFS	Net Movement	Revised Growth
Price Inflation & Demographic Demand	27.2	(11.3)	15.9
Pay Award	5.9	0.0	5.9
Total	**33.1**	**(11.3)**	**21.8**

9.16 The £15.9m resources to fund price inflation and demand will be allocated where required to service budgets in 2026/27. It is proposed that the Director of Resources has delegated authority, in consultation with the Lead Member for Finance, Resources & Social Value, to determine how best to allocate these resources during the course of the year.

Universal Credit Migration

9.17 In our Resources directorate, which is responsible for our Advice and Benefits service we are adding in £3.0m to cover the cost of Universal Credit managed migration reducing the caseload and therefore the volume of clawbacks, for which there is an income budget. This is unchanged from the forecasted resource requirement in the September 2025 MTFS.

Capital Programme

9.18 The need to increase the revenue provision for capital investment financing is due to the expansion of the capital programme and the resulting rise in the Capital Financing Requirement (CFR). The CFR reflects the total amount the authority needs to borrow to fund capital expenditure that cannot be covered by receipts, grants or contributions. As the capital programme, which includes one-off investments linked to prior year MTFS proposals, grows, this increases the annual costs of servicing this debt, including interest payments and principal repayments. For several years, the council's treasury management budget has substantially underspent through its policy of under borrowing – this was reported as being temporary, pending actual borrowing occurring and the underspend unwinding. External borrowing is now underway and the costs are starting to be realised. To ensure financial sustainability and compliance with financial regulations, the authority must allocate sufficient resources in its budget to cover these rising capital investment financing charges. £9.0m is provided to meet these costs annually from 2026/27 onwards and further sums as required in to the MTFS.

Freedom Pass

9.19 The cost to the Council of the London-wide Freedom Pass Scheme was previously estimated to increase from the existing base budget of £10.0m to £11.2m. The final 2026/27 Freedom Pass settlement was confirmed by London Councils in December 2025 at a cost of £11.0m. The final cost requires reduces the previously forecasted requirement by £0.2m.

9.20 Passenger numbers are monitored by London Councils, who have in turn provided a forecast of future costs for each borough as per the table below:

Table 8 – Freedom Pass Cost Forecast 2026/27 – 2029/30 (£m)

Freedom Pass (£m)	Budget 25/26	Actual 26/27	Forecast 27/28	Forecast 28/29	Forecast 29/30
Annual Cost Forecast	10.0	11.0	11.9	12.7	13.5
Additional Annual Uplift		1.0	0.9	0.9	0.7

9.21 In light of the refreshed assumptions above, the requirement for additional budgeted expenditure in 2026/27 is shown in the table below:

Table 9 – Movement in 2026/27 Gross Ask between September 2025 MTFS Update and the current revised position (£m)

Gross Ask	September 25 MTFS 26/27 (£m)	Movement	Revised MTFS 26/27 (£m)
Pay Inflation & Demographic Demand	33.1	(11.3)	21.8
Universal Credit Migration Pressure	3.0	0.0	3.0
Capital Programme	9.0	0.0	9.0
Freedom Pass	1.2	(0.2)	1.0
Gross Ask	**46.3**	**(11.5)**	**34.8**

9.22 In order to balance the 2026/27 budget, it is necessary to meet the Gross Ask of £34.8m with additional financing to the same value.

On-going Funding Change Summary - Gross Income

9.23 Additional Government funding allocations of £8.3m within the Core Spending Power has been provided in 2026/27 via the Local Government Finance Settlement as detailed in section 8. This is due to a combination of consolidating grants previously held outside the CSP and new funding, however it is primarily due to the protection offered by Government via the Recovery Grant Guarantee. This represents a movement of £16.9m on the position forecasted in the September 2025 MTFS which was based on prudent forecasting provided by London Councils based on information available at the time.

9.24 In addition, £6.4m of funding for the Extended Producer Responsibility for Packaging (pEPR) is to be utilised to support the in 2026/27 budget. Previous forecast had assumed no use of this funding.

Employers' Pension Contribution Rate

9.25 Following an external actuarial review of the Authority's Pension Fund, it was calculated the fund was performing significantly better than when last reviewed, which means that a reduction in employer contribution rates of 2.25% (reducing from 18.5% to 16.25%) can be implemented from April 2026. It is estimated that this would save the authority approximately £3.4m annually from 2026/27 onwards.

9.26 A further reduction in employer contributions, for a fixed period of 3 years up to 2028/29, worth approximately £4.5 million per year is delivered via a distribution of a proportion of the surplus generated by the Pension Fund performance.

9.27 The proposals above are subject to the agreement of the Pension Fund Panel and confirmation that it complies with the stabilisation arrangements governing the limit that contribution amounts can be varied by.

Previously Agreed Savings

9.28 The council has previously agreed a programme of savings in its March 2024 and February 2025 MTFS report. Table 10 shows the previously agreed budget effect (i.e. they are non-recurrent) of those net savings for 2026/27 of £3.4m which is included in the opening MTFS position.

Table 10 – Previously Agreed Savings Proposals (£m)

Departmental Summary	March 2024 Savings 2026/27	February 2025 Savings 2026/27	Previously Agreed Savings 2026/27
Communities, Environment & Central	1.0	0.5	1.5
Finance and Legal	(0.2)	0.0	(0.2)
Health & Adult Services	0.9	0.0	0.9
Housing & Safer Communities	0.9	0.0	0.9
Place & Growth	0.3	0.0	0.3
Total	**2.9**	**0.5**	**3.4**

9.29 As part of the ongoing savings tracking process, a detailed review of the previously agreed savings was undertaken as part of the 2025/26 MTFS process in which reprofiled the savings in future years. As a result of this

process an additional £1.1m of savings is forecasted to be delivered as a result of slippage which identified savings that would need to be reprofiled into later years of the MTFS.

Fees & Charges

9.30 New fees and charges are contained within Appendix C and are subject to approval in this report. An annual review of existing fees and charges has been undertaken under delegated authority, 2026/27 schedule of rates is provided in Appendix D.

Council Tax Base Growth

9.31 Growth via the council tax base of £1.5m is forecasted to be achieved in 2026/27. This increased income is projected based on a 1% growth in the taxbase based on new properties being built in the borough, and is broadly unchanged from previous estimates.

9.32 In light of the refreshed assumptions above, the requirement for additional budgeted gross income in 2026/27 is shown in the table below:

Table 11 – Movement in 2026/27 Gross Income between September 2025 MTFS Update and the current revised position (£m)

Gross Income	Original 26/27 (£m)	Movement	Revised 26/27 (£m)
Change in Government Funding	8.6	(16.9)	(8.3)
Extended Producer Responsibility for Packaging (pEPR)	3.0	(6.3)	(3.3)
Employer Pension Contributions	0.0	(3.4)	(3.4)
Previously Agreed Savings	(4.5)	0.2	(4.3)
Council Tax Base Growth	(1.4)	(0.1)	(1.5)
Council Tax Increase	(6.9)	6.9	0.0
Gross Income	**(1.2)**	**(19.6)**	**(20.8)**

9.33 In light of funding changes contained in the Provisional Local Government Finance Settlement (LGFS) and other resourcing announcements, the revised 2026/27 ongoing resource position is summarised in table 12:

Table 12 – 2026/27 Budget Position Post Provisional Local Government Finance Settlement

	Original 26/27 (£m)	Movement	Revised 26/27 (£m)
Gross Ask	46.3	(11.5)	34.8
Gross Income	(1.2)	(19.6)	(20.8)
Budget Gap	**45.1**	**(31.1)**	**14.0**

9.34 Following the provisional Local Government Finance Settlement, the revised budget gap for 2026/27 was £14.0m. This does not include:

- new savings proposals
- any potential council tax increase.

10. Budget Opportunities

New Savings/Income Proposals

10.1 Alongside our efforts to manage demand and inflation pressures, the Council has identified £7.1 million of savings / income proposals for 2026/27 onwards. A summary of the impact is presented in the table below. A summary table breaking down the impact of each of the proposal is presented in Appendix A alongside details of the proposals.

Table 13 – 2026/27 to 2029/2030 New Savings/Income Proposals (£m)

	Saving (26/27)	Saving (27/28)	Saving (28/29)	Saving (29/30)
Sum of Savings Proposals	7.1	8.0	8.8	8.2

In order to deliver the above savings, additional revenue and capital costs have been identified in Table 14 and 15 below. One off resources will be utilised to meet these additional costs.

Table 14 – 2026/27 to 2029/30 New Savings/Income Proposals Additional Revenue Costs (£m)

	Investment Revenue (26/27)	Investment Revenue (27/28)	Investment Revenue (28/29)	Investment Revenue (29/30)

Sum of revenue investment to delivery savings proposals	0.05	0.05	0.05	0.05

Table 15 – 2026/27 to 2029/30 New Savings/Income Proposals Additional Capital Costs (£m)

	Investment Capital (26/27)	**Investment Capital (27/28)**	**Investment Capital (28/29)**	**Investment Capital (29/30)**
Sum of Capital Investment to deliver savings proposals	0.00	0.00	0.00	0.00

10.2 In previous MTFS rounds the Council has included a contingency to manage any risk of delivery of demand reduction, income or savings activities. This MTFS contains in excess of £20m of demand reduction, additional income or savings activities. Some of this activity is in areas where we have seen high volatility in terms of price and demand in the past (e.g. Children's placements, Temporary accommodation).

10.3 Aligning with the three year settlement, it is proposed that each budget is underwritten by a risk reserve (£4.5m) that will serve to mitigate some or all the risk associated with the timing and delivery of planned savings and general pressures, as circumstances develop.

11. Available Options for Balancing 2026/27

11.1 Following the 2026/27 Provisional Local Government Finance Settlement (LGFS), it was possible to revise the budget position for 2026/27 financial year in the table below. Including the additional council tax base growth identified in section 8.28, the council is left with a gap of £6.9m in the annual budget for 2026/27, as set out in Table 16.

Table 16 – Residual Gap 2026/27

Residual Gap Position 2026/27	**26/27**
	£m
Budget Gap (post Settlement)	14.0
New Savings / Income Proposals	(7.1)
Revised Budget Gap 2026/27	**6.9**

11.2 Options for balancing 2026/27 are as follows:

A. use of one offs / reserves
B. further service reductions / cuts
C. council tax.

11.3 Option A is not a path that is recommended – one offs are exactly that and reserves should be used for the purpose that they have been earmarked.

11.4 New savings / income proposals of £7.1m are included in residual budget gap position. This amount is in addition to the previous savings programmes agreed by Council in March 2024 and February 2025. The ability to produce any further material savings, with confidence, for Option B in addition to the significant level already tabled, in such a short period, would be somewhat challenging.

11.5 The Government continues to expect Councils to partly fund adult social care through Council Tax and therefore assumes within its Core Spending Power calculations that authorities will take up the maximum level of council tax price rise and the same for adult social care. There is a case for raising the adult social care precept to account for the disproportionately large pressures this service has and will continue to see.

11.6 In November 2025, the Government confirmed Councils with social care responsibilities will be able to increase council tax in 2026/27 by up to 2.99% with an additional 2.00% for adult social care without a local referendum.

11.7 Under Option C, the table below demonstrates the effects of maximum permissible rises in council tax (2.99%) and adult social care precept (2.00%).

Table 17 – Council Tax options for 2026/27 (borough element)

Valuation Band	Borough Element £	ASC +2.00 % £	CT +2.99 % £	Total per Year	ASC +2.00 % pence	CT +2.99 % pence	Total per Week
A	1,014	+20	+30	+50	+39	+58	+97p
B	1,183	+24	+35	+59	+45	+68	+113p
C	1,352	+27	+40	+67	+52	+78	+129p
D	**1,521**	**+30**	**+46**	**+76**	**+58**	**+88**	**+146p**
E	1,859	+37	+56	+93	+71	+107	+178p
F	2,197	+44	+66	+110	+84	+126	+210p
G	2,535	+51	+76	+127	+97	+145	+243p

H	3,043	+61	+91	+152	+117	+174	+291p

Numbers rounded and exclude discounts and LCTS

11.8 Therefore agreement to an up lift of 4.99% (+2% Adult Social Care Precept and +2.99% borough element council tax) would equate to an increase of 146 pence per week at Band D and would deliver additional resources of approximately £6.9m per annum.

GLA Precept proposals

11.9 The GLA have published their draft consolidated budget for 2026/27 which proposes an increase of £20.13 (Table 18), this is subject to agreement by the GLA on 26 February 2026.

Table 18 – Proposed GLA Precept

Band D	**2025/26**	**2026/27**	**Change**	
Non-police precept	£171.25	£176.38	£5.13	3.0%
Police precept	£319.13	£334.13	£15.00	4.7%
Total	**£490.38**	**£510.51**	**£20.13**	**4.1%**

11.10 Table 19 shows the changes the proposals would have on the relevant council tax bands.

Table 19 – Proposed GLA Precept effect

Valuation Band	GLA Precept £	+4.1% GLA £	Per Week
A	340	+13	26p
B	397	+16	30p
C	454	+18	34p
D	**511**	**+20**	**39p**
E	624	+25	47p
F	737	+29	56p
G	851	+34	64p
H	1,021	+40	77p

Numbers rounded and exclude discounts and LCTS

11.11 The overall Council Tax increase for Greenwich residents 2026/27 including the GLA precept from the proposals above would be 4.8%. The figures are before support from LCTS, including the hardship support. A breakdown of this increase is shown in Table 20.

Table 20 – Breakdown of Council Tax uplift

Valuation Band	ASC +2.00% £	CT +2.99% £	GLA +4.1% £	Total per Year	ASC +2.00% pence	CT +2.99% pence	GLA +4.1% pence	Total per Week
A	+20	+30	+13	£63	+39	+58	+26	123p
B	+24	+35	+16	£75	+45	+68	+30	143p
C	+27	+40	+18	£85	+52	+78	+34	164p
D	**+30**	**+46**	**+20**	**£96**	**+58**	**+88**	**+39**	**185p**
E	+37	+56	+25	£118	+71	+107	+47	225p
F	+44	+66	+29	£139	+84	+126	+56	266p
G	+51	+76	+34	£161	+97	+145	+64	306p
H	+61	+91	+40	£192	+117	+174	+77	368p

12. Preferred Options

12.1 Increase Council Tax by 2.99% and apply a 2.00% Adult Social Care Precept for 2026/27.

12.2 Implementation of the savings and income proposals identified in the relevant sections.

13. Reasons for Recommendations

13.1 The Government has assumed this level of council tax increase in each Local Authority's 2026/27 Core Spending Power and allocated other grant resources based on this. However, the amount of grant received is not sufficient to maintain services at today's levels and prices, let alone rising costs and demand increases.

13.2 For these reasons it is therefore recommended that Council Tax is raised by 2.99% on the main council tax rate and 2.00% adult social care precept.

14. Risks Looking Ahead

National Economic Position

14.1 The UK Economic Position impacts the delivery of the services throughout the council in multiple ways – key being that growth in the economy provides greater resources for the government to be able to allocate to the public sector. The performance of the UK economy can affect the Government funding received and the costs incurred to deliver council services. The key national economic indicators are summarised below.

Gross Domestic Product (GDP) Growth

14.2 The UK's GDP growth is modest and slowing, with Q3 2025 showing a 0.1% quarter-on-quarter rise and 1.3% year-on-year, driven by services but hindered by weaker spending. Four-quarter UK GDP growth is projected to fall a little in the near term, below its current level of 1.4%, before improving. The pickup is driven by the lagged effect of recent interest rate cuts, the gradual loosening in monetary policy embodied in the market-implied path of interest rates, improvements in wider financial conditions, and higher global demand.

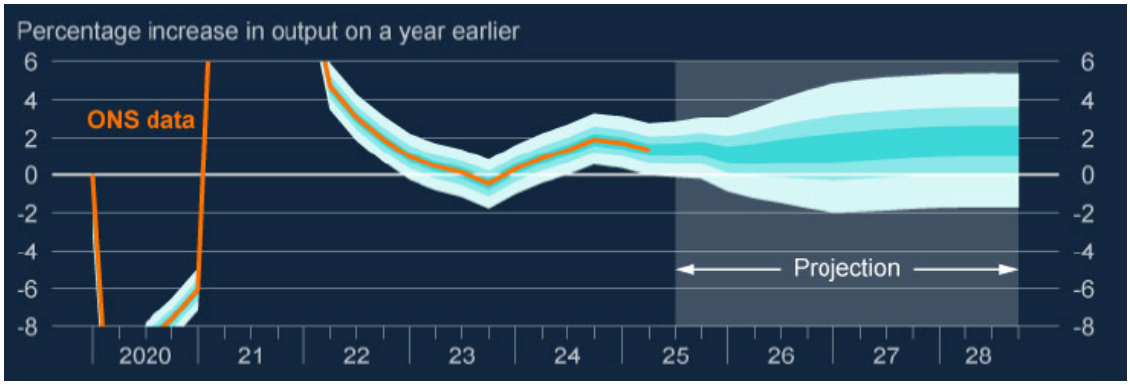


Chart 5: GDP Projection (source Bank of England Monetary Policy Report November 2025)

Unemployment Rates

14.3 The latest UK unemployment rate was 5.1% in the period from August to October 2025, which is an increase from the previous quarter and the previous year. Forecasts project this rate to remain around 5% in 2026 Q2. It is then projected to fall back over the second half of the forecast period, bringing it broadly in line with its estimated medium-term average rate of around 4.75%

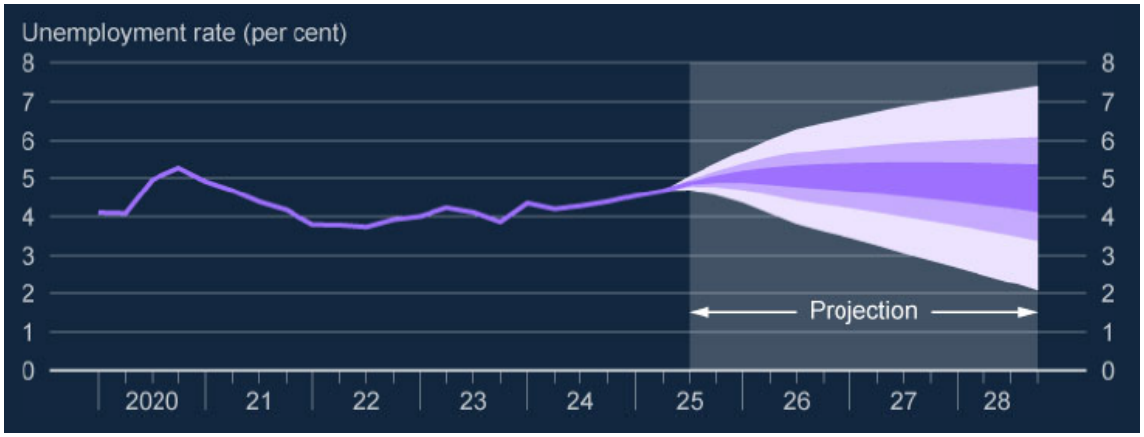


Chart 6: UK Unemployment Rate (source Bank of England Monetary Policy Report November 2025)

Inflation

14.4 Twelve-month CPI inflation rose by 3.2% in November, down from 3.6% in October. This reduction was driven by slower rises in food, alcohol, and clothing costs, falling short of expectations. The Bank of Enlgand project CPI inflation to fall back further to around the 2% target in the medium term.

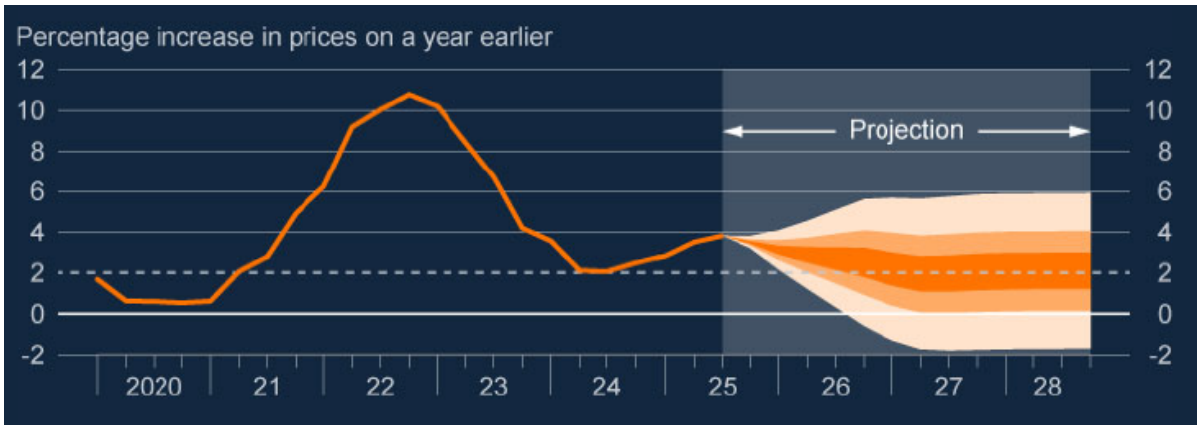


Chart 7: UK CPI Inflation (source Bank of England Monetary Policy Report November 2025)

14.5 Looking forward, the Bank of England's Monetary Policy Committee forecast future CPI inflation to be relative stable; 2.5% in 2026 Q4 and 2.0% and 2.1% in 2027 Q4 and 2028 Q4 respectively.

Future Local Authority Funding Pressures

14.6 A fundamental challenge facing the local government sector is that cost and demand pressures are rising faster than funding. While inflation has fallen steadily since its peak in 2022/23, significant cost and demand pressures remain in the system in services such as homelessness, children's social care (including placements and home to school transport for children with special educational needs and disabilities) and adult social care.

14.7 The Local Government Financial Settlement has had a positive impact upon the financial position of the Borough however the Local Government Association analysis undertaken prior to Settlement shows that by 2026/27 these pressures will have increased the cost of delivering services by 12.5 per cent since 2024/25, leaving councils nationwide facing a funding gap of £6.2 billion across 2025/26 and 2026/27 just to sustain services at 2024/25 levels.

Local Authority Funding Reform

14.8 The three year settlement announced in the Local Government Finance Settlement provides much greater certainty than previous one year settlements however, there still remains a "cliff edge" on the horizon beyond 2028/29, as the Recovery Grant Guarantee of £10m, which is essential for providing services remains uncertain after this time.

15. Medium Term Financial Strategy 2026/27 onwards

15.1 Taking into consideration the proposals considered in this report, this will balance the 2026/27 council budget

15.2 The local government finance settlement is for a three year period of 2026/27 to 2028/29. Whilst this has provided much greater certainty in funding over a multi-year period, there still remains a potential cliff edge in the final year of the four year strategy period. Funding allocations for 2029/30 will remain unknown until the next comprehensive spending review, in particular the future of the Recovery Grant Guarantee which has an allocation, of £10.0m in 2028/29 is not guaranteed to continue into 2029/30 and consequently represents a significant risk.

15.3 The Local Government Finance Settlement has indicated that there is a further positive adjustment in relation to Greenwich. This provides an additional Recovery Grant uplift in each of the three years of the settlement, alongside smaller increase in funding to specifically support Homelessness, Rough Sleeping and Domestic Abuse services.

Table 21 – Additional Funding Included within the Final Local Government Finance Settlement

	2026/27 £m	2027/28 £m	2028/29 £m
New Recovery Grant Uplift	2.158	2.815	3.870
Homelessness, Rough Sleeping & Domestic Abuse	0.509	0.336	0.167

15.4 Greenwich will continue to use medium term financial planning to achieve financial stability. Table 4 above indicated that there is a residual risk that there will be an overspend in 2025/26, in which case any additional funding would be utilised to mitigate that outturn position. Additional funding not required to mitigate overspends in 2025/26 can be allocated on the basis of need within 2026/27, in the short-term being added to the risk reserve referred to in 10.3 above. In future years the additional funding can support the bridging of the budget gaps identified within the MTFS in Table 22, however it should be noted that this additional funding would come with the same caveats as the already known Recovery Grant funding i.e. that it is not guaranteed to continue into 2029/30. Furthermore the Government has

announced its intention to fund 90% of the accumulated SEND related deficit, which will leave a residual amount to be funded by the council.

15.5 In light of the Investment and Saving proposals contained within this report, the MTFS can be revised to that shown in Table 22.

Table 22 – Revised MTFS forecast (£m)

MTFS Variable	**26/27**	**27/28**	**28/29**	**29/30**
Govt Funding Change	(8.3)	(5.5)	2.7	12.8
pEPR Grant Funding	(3.3)	3.2	3.2	3.2
Inflation & Demographic Demand	21.8	52.6	83.5	116.2
Universal Credit Migration Pressure	3.0	3.9	3.9	3.9
Pension Contribution Reduction	(3.4)	(3.6)	(3.6)	(3.6)
Capital Investment Financing	9.0	9.0	9.0	9.0
Waste Contract	0.0	2.5	5.0	5.0
Freedom Pass	1.0	1.9	2.8	3.5
Expenditure Pressures	**19.8**	**64.0**	**106.5**	**150.0**
Income – Ctax Base Property Growth	(1.5)	(2.9)	(4.5)	(6.2)
Total	**18.3**	**61.1**	**102.0**	**143.8**
Savings and Investment:				
Previously Agreed Savings	(4.3)	(4.0)	(4.2)	(4.2)
New Savings Proposals	(7.1)	(8.0)	(8.8)	(8.2)
Council Tax 4.99%:	(6.9)	(14.3)	(22.1)	(30.4)
Net Budget	**0.0**	**34.8**	**66.9**	**101.0**

15.5 The revised central forecast contains the following significant assumptions:

- council tax (including adult social care precept) increase (4.99%) applied to each year of the forecast
- council tax property growth of approximately 1% in each year
- government funding based on the Local Government Finance Settlement for 2026/27 to 2028/29
- no information for government funding allocations for 2029/30, therefore forecast excludes Recovery Grant Guarantee grant in 2029/30
- savings targets are met and cost pressures contained

15.6 The revised central forecast of the MTFS shows balanced position for 2026/27, once Council Tax increases of 2.00% for the Adult Social Care Precept and 2.99% borough increases are included.

16. Statement under s25 of the Local Government Act 2003

16.1 Under s25(1) of the Local Government Act 2003, the s151 / Chief Finance Officer is required to include in the budget report their view of:

- the robustness of the estimates made for the purposes of the budget calculations
- the adequacy of the financial reserves.

16.2 In turn, under s25(2), the authority, in taking budget decisions, shall have regard to this statement.

Robustness of the Budget Estimates

16.3 The MTFS is a continuous process and the journey ending with the production of this report was started almost immediately upon completion of the equivalent report in 2025. Estimates are made at various points along the journey and these are reviewed and tested as time moves on to ensure they are still valid. They are still estimates and / or evidence of a plan that exists at a point in time, but which may or may not come to fruition for a variety of factors and could be within or outside of the council's influence or control. These estimates cannot give guaranteed assurances, but give Members reasonable assurances that the budget is set on the best available information, evidence and data.

16.4 The process for developing the MTFS starts with the estimated gap set out in the latest report (usually the budget report) and updated from there for economic, demand, price and other relevant factors, in consultation with departments. In this context the budget presented for approval includes estimates about inflation, contractual uplifts, demand growth, additional income, fees and charges, changes to Government funding streams and potential savings and efficiencies.

16.5 Whilst the Director of Resources ensures that the overall process drives forward, it is a collaborative effort including, the Lead Member for Finance, Resources and Social Value, the Leader, the Chief Executive, members of Cabinet, the Greenwich Management Team, senior officers and heads of

service alongside many officers across the council. Scrutiny provides pre decision review of the proposals. Each initial case for a proposal was taken through a process, which included numerous Greenwich Strategic Leadership Team (Cabinet and Greenwich Management Team) meetings, where members and officers worked together to challenge and develop the ideas.

16.6 The revenue impact of capital decisions have been reflected within the MTFS. New schemes within the capital programme are likely to be financed by borrowing, which in turn puts additional pressure on revenue. The Strategic Asset Review will continue to seek and identify ways to deliver material improvements to the councils financial position by way of:

- increasing rental income to market levels where possible
- rationalising and optimising use of property assets
- disposal of property assets to
    - reduce maintenance costs
    - generate a capital receipt which can in turn be used to
        - fund capital investment
        - repay debt
        - resource Flexible Use of Capital Receipts initiatives which themselves provide long term revenue savings

<u>Risk</u>

16.7 The requirement to set a balanced budget is set out in sections 31A and 42A of the Local Government Finance Act 1992, as amended. This report is bridging an original budget gap (as reported to Council in September 2025) of £45.1m in the financial year 2026/27.

16.8 Directors have agreed the savings and will continue to track delivery as part of the budget management reporting to Members.

16.9 Two of the largest risks in the councils Strategic Risk Register are the MTFS and the Net Zero Climate ambition – the latter is neither costed or funded and will have a substantial impact on the costs incurred by the council over the coming years. Other significant risks include meeting the demand and complexity of school places and the risk of a cyber security or data breach. All of these risks are being managed and monitored within the Strategic Risk Register, however they are all impacted by external factors that are not necessarily in the control of the council. The local government financial settlement has eased some, but not all, of the immediate pressure upon the

council's budgets. Continued proactive management and mitigation will be required to ensure that these risks are not realised.

16.10 The MTFS has further gaps opening up to more than £101m in the next few years – opportunities to identify and deliver savings will become more challenging in each subsequent budget round

16.11 The use of the risk reserves held by the council to underwrite significant risks continues to underpin the council's prudent approach to ensuring that services can be maintained and financial risks mitigated in the face of immediate inflationary pressures, whilst also taking account of the need to maintain appropriate levels of reserves to support the councils' financial sustainability and future investment.

16.12 The MTFS is a continuous process, to maintain financial stability for the council. The next MTFS update is due in Summer 2026.

Reserves

16.13 Reserves are one off in nature and once used, they are gone. Reserves are generally held for three reasons:

- a working balance to help cushion the impact of uneven cash flows and avoid unnecessary temporary borrowing – this forms part of general reserves
- a contingency to cushion the impact of unexpected events or emergencies – this also forms part of general reserves
- a means of building up funds, often referred to as earmarked reserves, to meet known or predicted requirements.

16.14 There is no statutory definition of a minimum level of reserves, and it is for this reason that the matter falls to the judgement of the Section 151 Officer. In coming to a judgement on this matter the Section 151 Officer has considered the following matters:

- Risks inherent in the budget strategy.
- Risk management policies and strategies
- Past financial performance against budget
- Current budget projections
- The robustness of estimates contained within the budget.
- The adequacy of financial controls and budget monitoring procedures

- Spending pressures
- Increases in Social Care Precept and council tax.
- Impact of cost of living, energy prices and inflation and other market pressures
- Impact of the economic downturn on council tax and business rates
- Capital decisions and implementation

16.15 As at March 2025, the council held £19m in its general reserve – the unearmarked reserve to cover all unforeseen circumstances beyond those which reserves are held elsewhere. The s151 officer considers this to be at the minimum level necessary.

16.16 Earmarked reserves as at March 2025 were £171m and there will have been a degree of utilisation during 2025/26. At Q2, the 2025/26 outturn forecast for the General Fund is showing a projected overspend of £7.2m. Financial controls have been introduced to address this forecast position, which are beginning to take effect and will be reflected more fully within the Q3 position.

16.17 Factors leading to their use, building on top of the risks identified in Section 14 and above are:

- large changes in inflation / interest rates away from projections
- general demand / price / pay outstrips growth in budgets
- further surges in social care / TA
- economic impact upon residents / businesses (ability to pay council tax / business rates / other debts) and the council (effect upon capital projects and realisation of capital resources, which could be substantial in magnitude)
- financial mitigations being ineffective against the risks identified in the Corporate Risk Register

16.18 In conclusion, reasonable assurances can be provided in respect of 2026/27. The Council still has significant budget gaps over the Medium Term from 2027/28 to 2029/30.

17. Consultation and Timetable

17.1 The consultation this year focused upon five budget principles, set out below in Table 23.

Table 23 – Budget Principles

No.	Budget Principle	Description
1.	Ensuring financial stability	This is the primary principle. The council must live within its means. If funding reduces, spending should also reduce. Every pound spent needs to be carefully managed to ensure it is used in the right way, at the right time, to deliver best value and outcomes for residents. This may require difficult decisions. Without strong financial management, the council risks losing control of its finances and its ability to make decisions for the borough.
2.	Protecting everyday services	These are the services used by residents every day, such as bin collections, libraries, street cleaning and parks. The council will do everything it can to keep these services running smoothly and accessible to all residents.
3.	Delivering services that promote independence and ensure safety	The council has a duty to protect and support those most in need, particularly children, older people and adults who require additional care. The priority is to keep people safe, treat them with dignity and help them live independently wherever possible.
4.	Embracing technology and new ways of working	By using modern technology and improving ways of working, the council aims to deliver services that are faster,

		more efficient and better value for money, while improving the experience for residents and staff.
5.	Using one-off resources to create lasting impact	Where one-off funding is available, the council intends to invest it in projects that create long-term benefits. An example is the £60 million Getting Things Done investment programme, funding improvements over five years including fly-tipping, safety and other community priorities.

17.2 A total of 385 responses were received, which is just short of 100% increase relative to the consultation undertaken as part of the development of the MTFS last year. The consultation was undertaken online and using paper copies with a view to maximising the response.

17.3 The consultation survey asked residents for their views on the following,

- Understanding of the principles - Residents were asked how easy the principles were to understand, with options ranging from "Very clear and easy to understand" to "Not clear at all".
- Whether the principles reflect residents' values - Residents were asked whether the principles reflect what is important to them in how the council makes budget decisions.
- Comments on the principles - Residents were asked whether they wished to comment on any specific principle or suggest a new one, with space provided for free-text responses.
- Budget priorities - Residents were asked to select priorities for the 2026/27 budget from a list consisting of the following:
    - Being open and transparent about how money is spent and involving residents in decisions
    - Focusing on services that benefit the most residents
    - Improving access to affordable housing and preventing homelessness
    - Investing in children's services, schools, and youth opportunities
    - Keeping streets, parks, and public spaces clean and safe
    - Making it easier to access council services online and reducing waste and inefficiency
    - Making long term savings, even if it means short term changes or extra spending

- Prioritising support for those most in need, even if fewer people use it
- Protecting services for vulnerable residents, such as older people and those with disabilities
- Reducing antisocial behaviour and improving community safety
- Supporting local businesses and creating job opportunities
- Supporting people who are struggling with the cost of living
- Tackling climate change and protecting the local environment
- Other

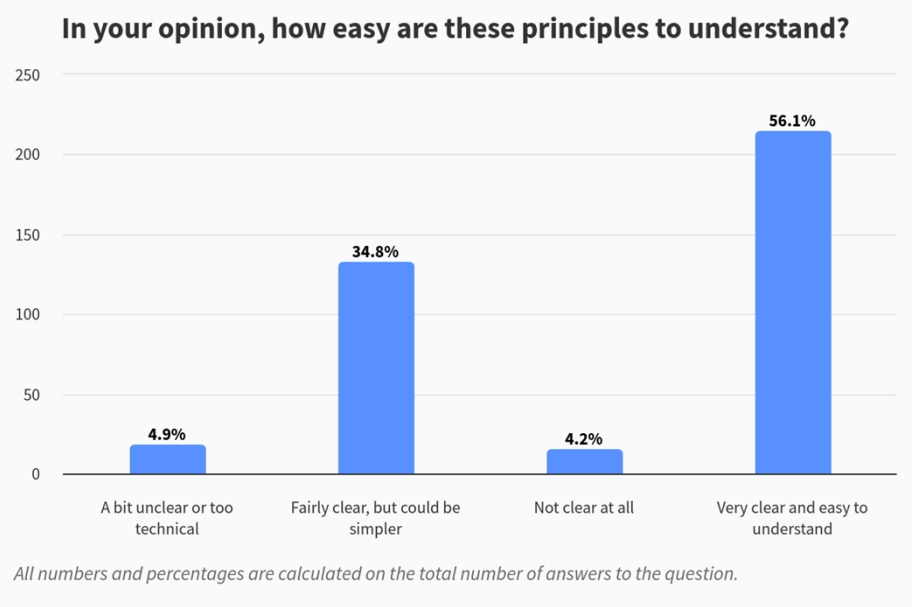
Residents were then invited to provide additional comments:

- Council Tax - Residents were given information on how Council Tax increases work, including the current rules allowing councils with adult social care responsibilities to increase Council Tax by up to 4.99%.
- Council Tax - Residents were then asked whether they agree or disagree with increasing Council Tax, with an option to provide further comments.

17.4 The responses provided some useful feedback albeit that the sample size is small relative to the overall population of the borough.

17.5 Understanding of the Principles - The majority of respondents, 57% (200), find the principles very clear and easy to understand, while 34% (119) think they are fairly clear but could be simpler. Only 5% (18) find them a bit unclear or too technical, and another 5% (16) do not find them clear at all.

Chart 8 – Budget Principles

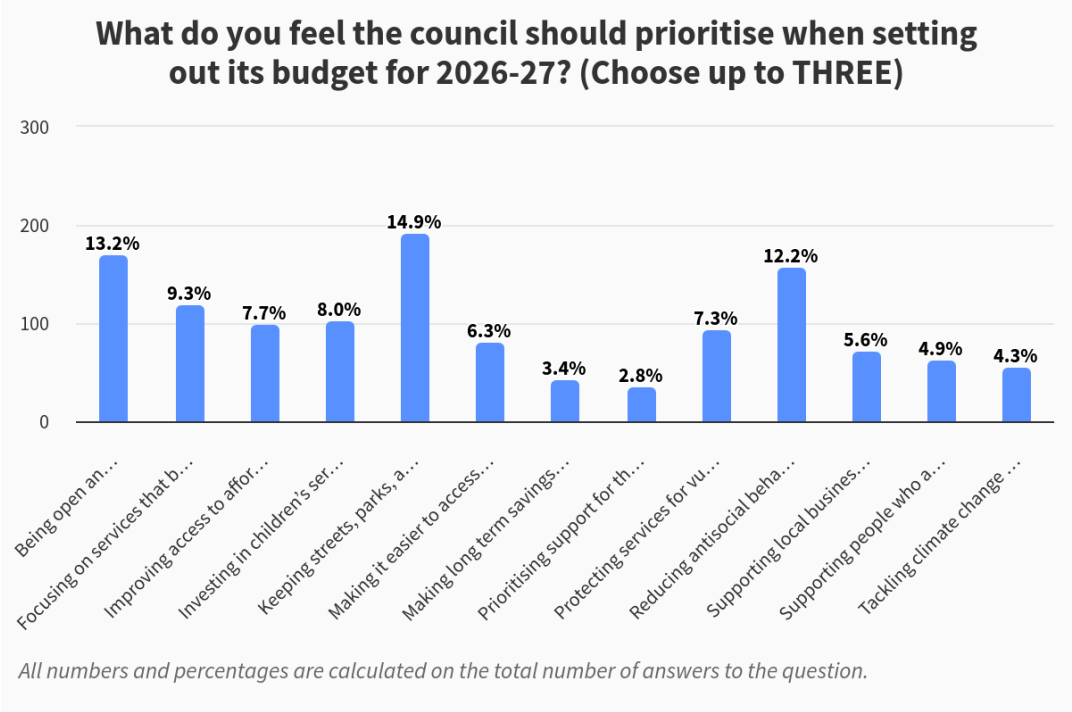


This positive response was by supported by a similar response to the question about whether the principles reflect what is important to them. The majority of respondents felt the principles either reflected very well (17.8%) or fairly well (56.7%). When asked whether respondents wished to comment further the largest response (38.4%) reflected that they had no further comments to make. Where comments were made they reflected views about the council's prioritisation of service provision including,

- The frequency of waste collections.
- Whether it was possible to have a greater police presence.
- The incidence of fly-tipping
- The risk of excluding people, especially the elderly, as a consequence of increasing use of technology.
- Further communication about the use of resources and their impact.

17.6 Budget Priorities – There was a wide spread of opinions expressed about where respondents felt budget priorities should be, Chart 9 below reflects this range.

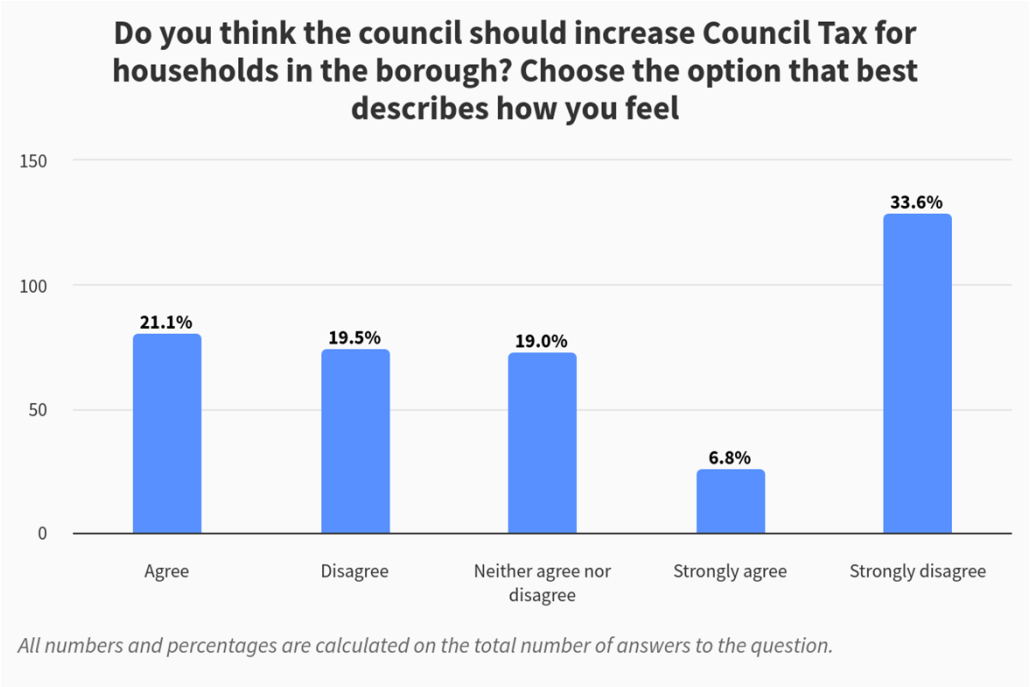
Chart 9 – Budget Priorities



The number of respondents to make comments on this area was relatively low, with only 111 people adding a comment. The comments covered quite a range of issues, with some quite specific whilst others were not directly linked to the council's responsibilities e.g. referring to the police service. Themes emerging from these responses were around expectations of communication, engagement and linking service developments to impact and value for money.

17.7 Council Tax – When asked about whether Council Tax should increase there was a majority disagreeing (183 out of 384 responses, 53.1%) with a smaller number (37.9%) agreeing that Council Tax should rise and 19% being undecided. This provides a counter-point to the responses provided to other consultation points whereby respondents reflected the importance of service quality and improvement and consequently reflects the challenge of local government financing.

Chart 10 – Views on the level of Council Tax



Comments linked to this question linked to broader questions about the funding of local government as a whole, communication about how funding is used and previous comments about perceptions of service delivery.

17.8 The governance timetable is shown in Table 24.

Table 24 – Governance Timetable

Meeting	Date	Subject
GLA Assembly	26 Feb	Precept Agreed
Council	26 Feb	Budget & MTFS Summary approved by Council

18. Cross-Cutting Issues and Implications

Issue	Implications	Sign-off
Legal including Human Rights Act	1. The proposals in this report provide the foundations to allow the Council to meet its statutory obligations to set a balanced budget each year in accordance with the Local Government Finance Act 1992 the Local Government Act 2003. In considering proposals concerning services, it is important that Members	*Azuka Onuorah Director of Legal and Democratic Services 7 January 2026*

	consider the policy choices about those services it wishes to fund and the extent of that funding. Members should consider all relevant factors in reaching a decision and balance the needs of those who might have a call on resources against the resources available. Members, collectively and individually, owe a fiduciary duty to council taxpayers when setting the budget, and should ensure decisions are taken on an informed basis and for proper purposes 2. When considering the MTFS and the annual budget, Members are required to have regard to the statutory report of the Chief Finance Officer (the s151 Officer) under Section 25 of the Local Government Act 2003 on the robustness of the estimates and the adequacy of reserves. That report must be presented to Council at the time budget calculations are made. The report is at paragraph 16. 3. Under Section 3 of the Local Government Act 1999, the Council must make arrangements to secure continuous improvement in the exercise of its functions, having regard to economy, efficiency and effectiveness. Current statutory guidance (May 2024) sets out the standards expected and the potential models of intervention if the duty is not met. The MTFS should evidence how proposals achieve value for money, maintain effective governance, and address early warning signs of failure. 4. In setting the MTFS and Budget, the Council must have due regard to the need to: (a) eliminate discrimination; (b) advance equality of opportunity; and (c) foster good relations, under Section 149	

	of the Equality Act 2010. Compliance is contextual and proportionate, but must be substantive, evidence-based, and demonstrate a fair process of enquiry. The comments below set out how the Council has discharged this duty and will continue to discharge the duty. . 5. Budget proposals should be supported by appropriate consultation and a rational decision-making trail to meet public law standards of reasonableness. The outcome of the high level consultation which has been carried out must be considered carefully and conscientiously taken into account in making the decisions set out in this report. Cabinet and Council will consider recommendations in relation to the Council's budget and Council Tax at their February meetings.	
Finance and other resources	This report specifically addresses the financial implications arising from the proposals and addresses the statutory requirement for the council to set a balanced budget for 2026/27, alongside which, attention is drawn to the statutory s25 comments in Section 16 of the report.	Damon Cook, Director of Resources, 10 February 2026
Equalities	Decision-makers are reminded of the requirement under the Public Sector Equality Duty (s149 of the Equality Act 2010) to have due regard to (i) eliminate unlawful discrimination, harassment, victimisation and other conduct prohibited by the Act, (ii) advance equality of opportunity between people from different groups, and (iii) foster good relations between people from different groups.	Alistair Rush, Interim Deputy Director of Finance, 10th February 2026

	The proposals at Section 11 of this report in particular are intended to support the Council's residents most in need, contributing to the Council's Equality and Equity Charter and the Council's Equality Objectives 2020-2024. The Equalities Charter actively promotes equality and works with partners and the community to ensure the Council's services, information and products are more accessible and inclusive. An initial assessment has indicated that whilst these proposals can reasonably be expected to improve outcomes for these households at an aggregate level, the equalities impact of individual proposals will be considered by the relevant decision taker, including the undertaking of full equalities impact assessments where necessary. With regards to other proposals still to be finalised, these will be the subject of further equality analysis where appropriate before the relevant decisions are taken.	
Climate change	This report does not make any direct contribution to the Greenwich Carbon Neutral Plan agreed by Cabinet on 18 November 2020.	Alistair Rush, Interim Deputy Director of Finance, 11th February 2026
Risk Management	The Royal Borough, as a local authority, is responsible for ensuring that it conducts its business in accordance with the Law and that public funds are properly accounted for, used economically, efficiently, and effectively. The Section 25 statement included within the body of the report above specifically	Alistair Rush, Interim Deputy Director of Finance, 11th February 2026

	addresses the risks associated with the proposals made. The MTFS itself is a specific risk held as part of the Corporate Risk Register.	
Community Engagement	The Council is currently undertaking a consultation related to the 2026/27 budget and the results will be included in future iterations of this report. Mission 15 of the Council's Corporate Plan, Our Greenwich, states that our Council is better at listening to communities, and communities feel they are heard. Officers will therefore review the success of the engagement plan, so that any lessons learnt can be taken in to consideration ahead of future consultations of this nature, in line with its Community Engagement Framework.	Alistair Rush, Interim Deputy Director of Finance, 11th February 2026

19. Report Appendices

19.1 The following documents are to be published with and form part of the report:

- Appendix A: Savings / Income Proposals
- Appendix B: Financial Standing and Risk
- Appendix C: Proposed New Fees and Charges 2026/27
- Appendix D i): Health & Adults Services Existing Fees & Charges 2026/27
- Appendix D ii): CEC & Place & Growth Existing Fees & Charges 2026/27
- Appendix D iii): Legal & Democratic Services Fees & Charges 2026/27
- Appendix D iv): Resources Fees & Charges 2026/27
- Appendix D v): Housing & Safer Communities Fees & Charges 2026/27
- Appendix D vi): Place & Growth Fees & Charges 2026/27
- Appendix E: Comments from Overview & Scrutiny

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